

South Africa

Banks Act, 1990

Act 94 of 1990

Legislation as at 1 May 1995

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Banks Act, 1990 (Act 94 of 1990)

Contents

Chapter I – Interpretation and application of Act	2
1. Definitions	2
2. Exclusions from application Act	9
Chapter II – Administration of Act	9
3. Office for Banks	9
4. Registrar and Deputy Registrar of Banks	9
5. Delegation of powers and assignment of functions by Registrar	10
6. Powers of inspection of, and guide-lines by, Registrar	10
7. Furnishing of information by banks	11
8. Power of Registrar to extend certain periods	11
9. Appeal against decisions of Registrar	11
10. Annual report by Registrar	13
Chapter III – Authorization to establish, and registration and cancellation of registration of banks	13
11. Registration a prerequisite for conducting business of bank	13
12. Application for authorization to establish bank	13
13. Granting or refusal of application for authorization	14
14. Revocation of authorization	15
15. Formation of certain companies prohibited except with approval of Registrar	15
16. Application for provisional registration as bank	15
17. Granting or refusal of application for provisional registration	16
18. Conditions, duration and renewal of provisional registration	17
18A. Branches of foreign institutions	17
18B. Cancellation or suspension of authorization by Registrar and notice by Registrar of intention to cancel or suspend authorization	18
19. Application for final registration as bank	19
20. Granting or refusal of application for final registration	19
21. Untrue information in connection with applications	19
22. Use of name of bank	20
23. Cancellation or suspension of registration by Registrar	21
24. Notice by Registrar of intention to cancel or suspend registration	22
25. Cancellation or suspension of registration by court	22
26. Restriction by Registrar of activities of bank	23
27. Cancellation of registration at request of bank	23
28. Cancellation of registration upon winding-up	23

29. Withdrawal of suspension or restriction	23
30. Publication of information relating to banks and representative offices of foreign institutions	23
31. Date on which registration lapses	24
32. Repayment of deposits upon lapse of registration	24
33. Reregistration in terms of this Act	25
34. Representative offices of foreign institutions	25
35. Annual licence	26
Chapter IV – Shareholding in, and registration of controlling companies in respect of, banks	26
36. ***	26
37. Permission for acquisition of shares in bank or controlling company	26
38. Registration of shares in name of nominees	29
39. Furnishing of information by shareholders	29
40. Absence of wrongful intent	29
41. Effects of registration of shares contrary to Act	30
42. Restriction of right to control bank	30
43. Application for registration as controlling company	31
44. Granting or refusal of application for registration as controlling company	31
45. Cancellation by Registrar of registration of controlling company	32
46. Cancellation by court of registration of controlling company	32
47. Cancellation of registration at request of controlling company	33
48. Lapse of registration of controlling company upon cancellation of registration of bank	33
49. Date on which registration of controlling company lapses	33
50. Investments by controlling companies	33
Chapter V – Functioning of banks and controlling companies with reference to Companies Act	34
51. Application of Companies Act to banks and controlling companies	34
52. Subsidiaries, branch offices, other interests and representative offices of banks and controlling companies	34
53. Disclosure by banks and controlling companies of interest in subsidiaries, trusts and other undertakings	35
54. Compromises, amalgamations, arrangements and affected transactions	35
55. Reconstruction within group of companies	38
56. Alteration of memorandum or association or articles of association, and change of name	38
57. Alteration of memorandum of association or articles of association in accordance with direction of Registrar	39
58. Information regarding directors and officers	40
59. Returns regarding shareholders	40
60. Directors of bank or controlling company	41

61. Appointment of auditor	42
62. Appointment of auditor by Registrar	43
63. Functions of auditor in relation to Registrar	43
64. Audit committee	44
65. Forwarding of certain notices, reports, returns and financial statements to Registrar	44
66. Disclosure of issued share capital	45
67. Disclosure of names of certain shareholders	45
68. Special provisions relating to winding-up or judicial management of bank	45
69. Appointment of curator to bank	47
69A. Investigation of affairs of bank under curatorship	50
Chapter VI – Prudential requirements	52
70. Minimum share capital and unimpaired reserve funds	52
71. ***	54
72. Minimum liquid assets	55
73. Large exposures	55
74. Failure or inability to comply with prudential requirements	56
75. Returns	56
Chapter VII – Provisions relating to aspects of the conduct of the business of a bank	58
76. Restriction on investments in immovable property and shares, and on loans and advances to certain subsidiaries	58
77. Restriction on investments with, and loans and advances to, certain associates	58
78. Undesirable practices	59
79. Shares, debentures, negotiable certificates of deposit and share warrants	60
80. Limitation on certain activities of banks	61
Chapter VIII – Control of certain activities of unregistered persons	61
81. Order prohibiting anticipated or actual contraventions of certain provisions of Act	61
82. Registrar's power to exact information from unregistered persons	62
83. Repayment of money unlawfully obtained	62
84. Management and control of repayment of money unlawfully obtained	63
Chapter IX – General provisions	64
85. Certification of returns and other documents	64
86. Inspection, copies and keeping of documents	64
87. Minors and married women as depositors	65
88. Limitation of liability	65
89. Furnishing of information by Registrar	65

90. Regulations	65
91. Offences and penalties	66
92. Review of Act	67
93. Interpretation of certain references in existing laws and in other documents	68
94. Amendment of section 3 of Act 61 of 1973, as amended by section 106 of Act 82 of 1986	68
95. Repeal of laws, and savings	68
96. Short title and commencement	68
Schedule	69

South Africa

Banks Act, 1990

Act 94 of 1990

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Assented to on 28 June 1990

There are multiple commencements

Provisions	Status
Chapter I (section 1–2); Chapter II (section 3–10); Chapter III (section 11–35); Chapter IV (section 36–50); Chapter V, section 51–59, section 60(3)–(4), section 61–69; Chapter VI (section 70–75); Chapter VII (section 76–80); Chapter VIII (section 81–84); Chapter IX (section 85–96)	commenced on 1 February 1991 by Proclamation 12 of 1991 .
Chapter V, section 60(1)–(2), (3)(a)–(b), (5)–(6)	commenced on 9 August 1991 by Proclamation R73 of 1991 .
Chapter IV, section 36(10)(b)(iii)–(iv), (10)(c)(i)–(ii), section 37(2)(c); Chapter V, section 54(11), section 63(4), section 69(1)(a)–(c), (3)(d)–(i); Chapter VI, section 70(5)(a)(vi)(aa)–(bb), section 72(4)(a)–(b)	commenced on 15 April 1992.
Chapter I, section 1(1A); Chapter III, section 13(2)(fA), section 30(a)(i)–(vi); Chapter V, section 69(6A); Chapter VI, section 70(6)(a)–(c); Chapter IX, section 91(1)(aA)	commenced on 10 March 1993.
Chapter IV, section 38(2)(e)	commenced on 14 May 1993.
Chapter I, section 1(1A)(d); Chapter II, section 6(3)(a)–(e); Chapter III, section 18A–18B, section 34(2A); Chapter IV, section 37(7)(a)–(c); Chapter V, section 54(4)(a)–(b), section 60(5)(a)–(b), section 68(1)(c), (5), section 69(8), section 69A; Chapter VI, section 73(3), section 75(3A), (4)(b)(i)–(vi); Chapter VII, section 78(1)(g)(i)–(iii), section 79(3)–(4)	commenced on 1 May 1995.

[This is the version of this document as it was from 1 May 1995 to 31 May 1996.]

[Amended by [Deposit-taking Institutions Amendment Act, 1992 \(Act 42 of 1992\)](#) on 1 February 1991]

[Amended by [Deposit-taking Institutions Amendment Act, 1991 \(Act 81 of 1991\)](#) on 12 June 1991]

[Amended by [Deposit-taking Institutions Act, 1990: Amendment \(Government Notice R1765 of 1991\)](#) on 1 August 1991]

[Amended by [Deposit-taking Institutions Amendment Act, 1992 \(Act 42 of 1992\)](#) on 15 April 1992]

[Amended by [Deposit-taking Institutions Amendment Act, 1993 \(Act 9 of 1993\)](#) on 10 March 1993]

[Amended by [Safe Deposit of Securities Act, 1992 \(Act 85 of 1992\)](#) on 14 May 1993]

[Amended by [Banks Act, 1994: Amendment \(Proclamation 132 of 1994\)](#) on 27 July 1994]

[Amended by [Banks Amendment Act, 1994 \(Act 26 of 1994\)](#) on 1 May 1995]

[short title, previously *Deposit-taking Institutions Act*, substituted by section 26 of [Act 9 of 1993](#).]

[The Act was amended by the substitution, wherever they occur, for the expressions “Deposit-taking Institutions” of the expression “Banks”; “deposit-taking institutions” of the expression “banks”; “deposit-taking institution” of the expression “bank” and “deposit-taking institution’s” of the expression “bank’s”, by section 25(a) of [Act 9 of 1993](#).]

(English text signed by the State President.)

ACT

To provide for the regulation and supervision of the business of public companies taking deposits from the public; and to provide for matters connected therewith.

BE IT ENACTED by the State President and the Parliament of the Republic of South Africa, as follows:

Chapter I Interpretation and application of Act

1. Definitions

- (1) In this Act, unless the context otherwise indicates—

"agency", in relation to a bank, means a right granted to a person by that bank to receive on its behalf from its clients any deposits, money due to it or applications for loans or advances, or to make payments to such clients on its behalf;

"bank" means a public company registered as a bank in terms of this Act;

[definition of "bank" inserted by section 1(a) of [Act 9 of 1993](#) and substituted by section 1(a) of [Act 26 of 1994](#)]

"board of appeal" means the board of appeal established by section 9(2);

"chief executive officer", in relation to a bank, means a person who, either alone or jointly with one or more other persons, is responsible under the direct authority of the board of directors of the bank for the conduct of the business of the bank;

"chief representative officer" means the person in charge of a representative office;

"close relative", in relation to any person, means—

- (a) his spouse;
- (b) his child, stepchild, parent or stepparent;
- (c) the spouse of any of the persons mentioned in paragraph (b);

"Companies Act" means the Companies Act, 1973 ([Act No. 61 of 1973](#));

"company" means a company under the Companies Act;

"controlling company" means a public company registered in terms of this Act as a controlling company in respect of a bank;

"co-operative" means a co-operative incorporated in terms of the Cooperatives Act, 1981 ([Act No. 91 of 1981](#)), and includes a co-operative society or co-operative company deemed in terms of section 2 of that Act to be incorporated in terms of the said Act;

"**deposit**", when used as a noun, means an amount of money paid by one person to another person subject to an agreement in terms of which—

- (a) an equal amount or any part thereof will be conditionally or unconditionally repaid, with or without a premium, on demand or at specified or unspecified dates or in circumstances agreed to by or on behalf of the person making the payment and the person receiving it; and
- (b) no imprest will be payable on the amount so paid or interest will be payable thereon at specified intervals or otherwise,

notwithstanding that such payment is limited to a fixed amount or that a transferable or non-transferable certificate or other instrument providing for the repayment of such amount *mutatis mutandis* as contemplated in paragraph (a) or for the payment of interest on such amount *mutatis mutandis* as contemplated in paragraph (b) is issued in respect of such amount; but does not include an amount of money—

- (i) paid as an advance, or as part payment, in terms of a contract for the sale, letting and hiring or other provision of movable or immovable property or of services, and which is repayable only in the event of—
 - (aa) that property or those services not in fact being sold, let and hired or otherwise provided;
 - (bb) the fulfilment of a resolutive condition forming part of that contract; or
 - (cc) the non-fulfilment of a suspensive condition forming part of that contract;
- (ii) paid as security for the performance of a contract or as security in respect of any loss which may result from the non-performance of a contract;
- (iii) without derogating from the provisions of paragraph (ii), paid as security for the delivery up or return of any movable or immovable property, whether in a particular state of repair or otherwise;
- (iv) paid by a holding company to its subsidiary, or by a subsidiary to its holding company, or by one subsidiary to another subsidiary of the same, holding company;
- (v) paid by a person who, at the time of such payment—
 - (aa) is a close relative of the person to whom such money is paid;
 - (bb) is a director or executive officer of the person to whom such money is paid; or
 - (cc) is a close relative of a director or executive officer of the person to whom such money is paid;
- (vi) paid by any person to a registered insurer as defined in section 1(1) of the Insurance Act, 1943 ([Act No. 27 of 1943](#)), as a premium in respect of any kind of policy defined or referred to in that section and under which policy that insurer assumes, in return for such premium, such an obligation as is described in that section in the definition of, or with reference to, the kind of policy in question;
[paragraph (vi) substituted by section 1 of Government Notice R1765 of 1991 and amended by section 1(a) of [Act 42 of 1992](#)]
- (vii) paid to a fund registered or provisionally registered under section 4 of the Pension Funds Act, 1956 ([Act No. 24 of 1956](#)), as a contribution, contemplated in Section 13A of that Act, by or on behalf of a member of that fund; or
[paragraph (vii) amended by section 1(b) of [Act 42 of 1992](#)]

- (viii) paid to a benefit fund, as defined in section 1 of the Income Tax Act, 1962 ([Act No. 58 of 1962](#)), as a contribution or a subscription by or on behalf of a member of that fund,

[paragraph (viii) added by section 1(c) of [Act 42 of 1992](#)]

and "deposit" when used as a verb, or any derivative thereof, has a corresponding meaning;

"deposit-taking institution" *[definition of "deposit-taking institution" deleted by section 1(b) of [Act 9 of 1993](#)]*

"domestic shareholder", in relation to a bank or controlling company, means a shareholder of the bank or controlling company—

- (a) who is resident in the Republic;
- (b) which is a company controlled, *mutatis mutandis* as contemplated in paragraph (a), (b) or (c) of the definition of "controlling company" in section 1 of the Companies Act, by a person or persons who is or are resident in the Republic or, in the case of a juristic person or persons, was or were formed, established or incorporated by or under a law of the Republic;
- (c) which is a juristic person other than a company and was formed, established or incorporated by or under a law of the Republic, excluding a pension fund registered in terms of the Pension Funds Act, 1956 ([Act No. 24 of 1956](#)), where the head office of the association which carries on the business of that fund, or of every employer who is a party to that fund, is outside the Republic; or
- (d) that is a person belonging to a category of persons recognized by the Registrar as domestic shareholders for the purposes of this Act;

"executive officer", in relation to any institution, includes any manager of such an institution and, in relation to an institution that is a bank, any employee who is in charge of a risk management function of that bank;

[definition of "executive officer" substituted by section 1(b) of [Act 26 of 1994](#)]

"fellow subsidiary", in relation to a company, means any other company which is a subsidiary of the holding company of which the first-mentioned company is a subsidiary;

"financial statements" means annual financial statements referred to in sections 286 and 288 of the Companies Act;

"foreign shareholder", in relation to a bank or controlling company, means a shareholder of such bank or controlling company that is not a domestic shareholder;

"general public" does not include a bank;

"group of banks" means a group consisting of two or more banks which have the same holding company, and such holding company;

"holding company" means a holding company as defined in section 1(4) of the Companies Act;

"Land Bank" means the Land and Agricultural Bank of South Africa;

"liquid assets" means—

- (a) Reserve Bank notes, subsidiary coin (excluding such notes or coin to the extent to which it is taken into account in the calculation of the minimum reserve balance a bank is required to maintain in an account with the Reserve Bank in terms of section 10A of the South African Reserve Bank Act, 1989 ([Act No. 90 of 1989](#))), gold coin and bullion;

[paragraph (a) substituted by section 1(c) of [Act 9 of 1993](#)]

- (b) any credit balance in a clearing account with the Reserve Bank;
[paragraph (b) substituted by section 1(d) of [Act 9 of 1993](#)]
- (c) *[paragraph (c) deleted by section 1(e) of [Act 9 of 1993](#)]*
- (d) treasury bills of the Republic;
- (e) *[paragraph (e) deleted by section 1(e) of [Act 9 of 1993](#)]*
- (f) stocks issued under section 19 of the Exchequer Act, 1975 ([Act No. 66 of 1975](#)), with a maturity of not more than three years to the last redemption date;
- (g) bills issued by the Land Bank for purposes of extending short-term financing—
 - (i) to an agricultural co-operative or a special farmers' co-operative formed and incorporated under the Co-operatives Act, 1981 ([No. 91 of 1981](#)), or deemed thereunder to be so formed and incorporated, for the purchase of agricultural products from farmers and of agricultural implements, equipment and other means of production for resale to farmers for the production of agricultural products; or
 - (ii) to a control board established under the Marketing Act, 1968 ([Act No. 59 of 1968](#)), for the purchase of agricultural products;
- (h) *[paragraph (h) deleted by section 1(e) of [Act 9 of 1993](#)]*
- (i) *[paragraph (i) deleted by section 1(e) of [Act 9 of 1993](#)]*
- (j) securities of the Reserve Bank with a maturity of not more than three years to the last redemption date thereof;

"**Minister**" means the Minister of Finance;

"**money broker**" *[definition of "money broker" deleted by section 1(d) of [Act 42 of 1992](#)]*

"**money broking**" *[definition of "money broking" deleted by section 1(d) of [Act 42 of 1992](#)]*

"**mutual building society**" *[definition of "mutual building society" deleted by section 1(c) of [Act 26 of 1994](#)]*

"**mutual bank**" means a mutual bank as defined in section [1\(1\)](#) of the Mutual Banks Act, 1993 ([Act No. 124 of 1993](#));

[definition of "mutual bank" inserted by section 1(d) of [Act 26 of 1994](#)]

"**person**" includes any partnership;

"**prescribed**" means prescribed by regulation;

"**public**" includes a juristic person;

"**Registrar**" means the Registrar of Banks designated under section [4](#);

"**Registrar of Companies**" means the Registrar of Companies appointed under section 7 of the Companies Act;

"**regulation**" means a regulation made under section [90](#);

"**representative office**", in relation to—

- (a) a foreign institution referred to in section [34\(1\)](#), means premises situated within the Republic and from which the business referred to in the said section [34\(1\)](#) and conducted by such foreign institution in the other country referred to in that section, is promoted or assisted in any way; or

- (b) the establishment by a bank of a representative office outside the Republic as contemplated in section 52 (1)(e), means premises situated outside the Republic and front which the business conducted by such bank within the Republic in terms of this Act is promoted or assisted in any way;

"**Republic**", for the purposes of the definition of "domestic share-holder", includes any state the territory of which formerly formed part of the Republic;

"**Reserve Bank**" means the South African Reserve Bank;

"**subsidiary**" means a subsidiary as defined in section 1 (3) of the Companies Act;

"**the business of a bank**" means—

- (a) the acceptance of deposits from the general public (including persons in the employ of the person so accepting deposits) as a regular feature of the business in question;
[paragraph (a) substituted by section 1(f) of Act 9 of 1993 and by section 1(e) of Act 26 of 1994]
- (b) the soliciting of or advertising for deposits;
- (c) the utilization of money, or of the interest or other income earned on money, accepted by way of deposit as contemplated in paragraph (a)—
 - (i) for the granting by any person, acting as lender in his own name or through the medium of a trust or a nominee, of loans to other persons;
 - (ii) for investment by any person, acting as investor in his own name or through the medium of a trust or a nominee; or
 - (iii) for the financing, wholly or to any material extent, by any person of any other business activity conducted by him in his own name or through the medium of a trust or a nominee;
- (d) the obtaining, as a regular feature of the business in question, of money through the sale of an asset, to any person other than a bank, subject to an agreement in terms of which the seller undertakes to purchase from the buyer at a future date the asset so sold or any other asset; or
- (e) any other activity which the Registrar has, after consultation with the Governor of the Reserve Bank, by notice in the *Gazette* declared to be the business of a bank,

but does not include—

- (aa) the acceptance of a deposit by a person who does not hold himself out as accepting deposits on a regular basis and who has not advertised for or solicited such deposit: Provided that—
 - (i) the person accepting deposits as contemplated in this paragraph shall not at any time hold deposits from more than twenty persons or deposits amounting in the aggregate to more than R500 000; and
 - (ii) a person and any person controlled directly or indirectly by him (whether such control is through shareholding or otherwise) or managed by him, and a subsidiary of such last-mentioned person, who accepts deposits as contemplated in this paragraph shall for the purposes of subparagraph (i) of this proviso be deemed to be one person;
- (bb) the borrowing of money from its members by a co-operative subject to such conditions as may be prescribed;
- (cc) any activity of a public sector, governmental or other institution, or of any person or category of persons, designated by the Registrar, with the approval of the Minister, by notice in the *Gazette*, provided such activity is performed in accordance with such

conditions as the Registrar may with the approval of the Minister determine in the relevant notice;

- (dd) any activity contemplated in paragraph (a), (b) or (c)—
 - (i) performed by any institution registered or established in terms of, by or under any other Act of Parliament and designated by the Minister by notice in the *Gazette*; or
 - (ii) performed in terms of any scheme authorized and controlled by, and conducted in accordance with the provisions of, any other Act of Parliament and so designated by the Minister, provided such activity is performed in accordance with such conditions as the Minister may determine in the relevant notice;
 - (ee) the acceptance, subject to such conditions as the Registrar may from time to time determine by notice in the *Gazette*, of money against debentures, bills of exchange, promissory notes or other similar financial instruments, provided the money so accepted is not used, in the case of such acceptance of money by a person other than a bank, for the granting of money loans or credit (other than customary credit in respect of the sale of goods or the provision of services by the issuer of such financial instruments) to the general public; or
- [paragraph (ee) substituted by section 1(e) of [Act 42 of 1992](#)]*
- (ff) the effecting, subject to the provisions of any other Act of Parliament and to such conditions as the Registrar may from time to time determine by notice in the *Gazette*, of a money lending transaction directly between a lender and a bank as borrower through the intermediation of a third party who does not act as a principal to the transaction (hereinafter in this paragraph referred to as the agent), provided the funds to be lent in terms of the money lending transaction are entrusted by the lender to the agent subject to a written contract of agency in which, in addition to any other terms thereof, at least the following matters shall be recorded:

- (i) Confirmation by the lender that the agent acts as his agent; and
- (ii) that the lender assumes, except in so far as he may in law have a right of recovery against the agent, all risks connected with the administration by the agent of the funds entrusted to him by the lender, as well as the responsibility to ensure that the agent executes his instructions as recorded in the written contract of agency:

Provided that, notwithstanding the preceding provisions of this paragraph, an agent that —

- (i) is a natural or juristic person registered or established in terms of, by or under any other Act of Parliament and the main business activities of whom or of which are regulated or controlled in terms of, by or under such other Act of Parliament; and
- (ii) has been designated by the Registrar by notice in the *Gazette*,

may, for the purposes of the effecting of the money lending transaction and subject to such conditions as the Registrar may determine in the relevant notice, pool the funds entrusted by the lender to such agent with funds entrusted to such agent by other lenders;

[paragraph (ff) substituted by section 1(e) of [Act 42 of 1992](#) and by section 1(g) of [Act 9 of 1993](#)]

"this Act" includes the regulations;

"undesirable practice" means any act prohibited, or any failure to perform any act enjoined, by section 78 (1), and, in relation to a particular bank or banks specified in a notice referred to in

section [78 \(2\) \(b\)](#) or all banks, includes any act which in terms of a notice referred to in section [78 \(2\)](#) constitutes an undesirable practice for such particular bank, such specified banks or all banks, as the case may be;

"**wholly owned subsidiary**" means a wholly owned subsidiary as defined in section 1 of the Companies Act.

- (1A) (a) In order to determine, for the purposes of this Act, whether a particular person is a fit and proper person to hold the office of a director or an executive officer of a bank or a controlling company, the Registrar shall have regard to the following qualities, in so far as they are reasonably determinable, of the person concerned:
- (i) His general probity;
 - (ii) his competence and soundness of judgement for the fulfilment of the responsibilities of the office in question; and
 - (iii) the diligence with which the person concerned is likely to fulfil those responsibilities.
- (b) For the purposes of and without prejudice to the generality of the provisions of paragraph [\(a\)](#), the Registrar may have regard to the previous conduct and activities of the person concerned in business or financial matters and, in particular, to any evidence that such person—
- (i) was convicted of the offence of fraud or any other offence of which dishonesty, or the commission of violence, was an element;
 - (ii) had contravened the provisions of any law appearing to the Registrar to be designed for protecting members of the public against financial loss due to the dishonesty or incompetence of, or malpractices by, persons engaged in—
 - (aa) the provision of banking, insurance, investment or other financial services; or
 - (bb) the management of juristic persons,
 or against financial loss due to activities relating to insolvency;
 - (iii) was a director who had been indicated, as contemplated in section 421(2) of the Companies Act, as the effective cause of a particular company having been unable to pay its debts;
 - (iv) had taken part in any business practices that, in the opinion of the Registrar, were deceitful, prejudicial or otherwise improper (whether unlawful or not) or which otherwise brought discredit on his methods of conducting business; or
 - (v) had taken part in or been associated with any such other business practices as would, or had otherwise conducted himself in such a way as to, cast doubt on his competence and soundness of judgement.
- (c) The Registrar shall be entitled to request any person to complete a questionnaire that is designed to enable the Registrar to form an opinion, as contemplated in this subsection, regarding the qualities of that person.
- (d) If the Registrar has under paragraph [\(c\)](#) addressed a request to a person who is to be appointed as a director or an executive officer of a bank or a controlling company and such person has refused or failed to comply with such request, the provisions of section [60\(5\)\(b\)](#) shall *mutatis mutandis* apply to the appointment of that person as such a director or such an executive officer.

[paragraph [\(d\)](#) added by section 1(f) of [Act 26 of 1994](#)]

[subsection [\(1A\)](#) inserted by section 1(h) of [Act 9 of 1993](#)]

- (2) (a) The Minister may, on the recommendation of the Registrar and after consultation with the Governor of the Reserve Bank, by regulation amend the definition of “deposit” or “the business of a bank” for the purposes of the application of any of or all the provisions of this Act.

[paragraph (a) substituted by section 1(i) of [Act 9 of 1993](#)]

- (b) Every regulation made under paragraph (a) shall be of force and effect unless and until, during the session in which the relevant list has been laid upon the Tables in Parliament in accordance with the provisions of section 17 of the Interpretation Act, 1957 ([Act No. 33 of 1957](#)), every House of Parliament has by resolution disapproved of the regulation, in which event the regulation shall lapse as from a date to be specified in the resolution, but such lapsing of the regulation shall not affect the validity of anything done under such regulation before the date specified in the resolution, and nothing contained in this paragraph shall affect the power of the Minister to make a new regulation as to the subject matter of the regulation which has so lapsed.

2. Exclusions from application Act

Except where expressly stated otherwise, the provisions of this Act, in so far as they impose requirements with which any institution must comply—

- (a) before it may carry on the business of a bank ; or
(b) in the lawful carrying on of the business of a bank,

shall not apply to—

- (i) the Reserve Bank;
(ii) the Land Bank;
(iii) the Development Bank of Southern Africa;
(iv) the Corporation for Public Deposits established by section 2 of the Corporation for Public Deposits Act, 1984 ([Act No. 46 of 1984](#));
(v) the Public Investment Commissioners referred to in section 2 of the Public Investment Commissioners Act, 1984 ([Act No. 45 of 1984](#));
(vi) any mutual bank; or
[paragraph (vi) substituted by section 2 of [Act 26 of 1994](#)]
(vii) any other institution or body designated by the Minister by notice in the *Gazette*.

Chapter II Administration of Act

3. Office for Banks

For the registration as banks of public companies desiring to conduct the business of a bank and for the other purposes of this Act there shall, as part of the Reserve Bank, be an office in Pretoria called the Office for Banks, and at the head of such office shall be a person to be styled the Registrar of Banks.

[section 3 substituted by section 2 of [Act 9 of 1993](#)]

4. Registrar and Deputy Registrar of Banks

- (1) The Reserve Bank shall, subject to the approval of the Minister, designate an officer or employee in its service as Registrar of Banks, who shall perform, under the control of the said Bank and in

accordance with the directions issued by that Bank from time to time, the functions assigned to the Registrar by or under this Act.

- (2) The Reserve Bank may, subject to the approval of the Minister, designate an officer or employee in its service as Deputy Registrar of Banks, who shall, subject to the control and directions of the Registrar, be competent to perform any function which the Registrar is permitted or required to perform.

5. Delegation of powers and assignment of functions by Registrar

- (1) The Registrar may with the approval of the Reserve Bank—
 - (a) delegate to any officer or employee of the Reserve Bank any power conferred upon the Registrar by or under this Act; or
 - (b) authorize any such officer or employee to perform any duty assigned to the Registrar by or under this Act.
- (2) Any delegation under subsection shall not prevent the exercise of the relevant power by the Registrar himself.

6. Powers of inspection of, and guide-lines by, Registrar

- (1) In addition to the powers and duties conferred or imposed upon him by this Act, the Registrar shall, for the purposes of the performance of his functions under this Act, have powers and duties in all respects corresponding to the powers and duties conferred or imposed by the Inspection of Financial Institutions Act, 1984 ([Act No. 38 of 1984](#)), upon a registrar contemplated in the last-mentioned Act
- (2) Any reference in this Act to an inspection or investigation made under this section shall be construed as a reference to an inspection made in accordance with the provisions of the Inspection of Financial Institutions Act, 1984.
- (3) Neither the provisions of this section nor any other provision of this Act shall be construed as prohibiting the Registrar from holding discussions, from time to time, with the chief executive officer of any bank, or with any executive officer or employee, designated by such chief executive officer, of—
 - (a) that bank;
 - (b) any subsidiary or controlling company of that bank, or any other subsidiary of such controlling company;
 - (c) any juristic person which would have been a subsidiary of that bank or of its controlling company had such juristic person been a company;
 - (d) any juristic person of which the board of directors or, in the case where such juristic person is not a company, of which the governing body is accustomed to act in accordance with the directions or instructions of that bank or its controlling company; or
 - (e) any trust controlled directly or indirectly by that bank or its controlling company,

with a view to achieving effective supervision by the Registrar, on an individual or a consolidated basis, of that bank or the group of banks of which that bank is a member.

[subsection (3) amended by section 25(b) of [Act 9 of 1993](#) and substituted by section 3 of [Act 26 of 1994](#)]

- (4) The Registrar may from time to time by means of a circular furnish banks with guide-lines regarding the application and interpretation of the provisions of this Act.

7. Furnishing of information by banks

- (1) The Registrar may by notice in writing—
 - (a) direct a bank or a controlling company or a subsidiary of a bank or controlling company to furnish the Registrar, at such time or times or at such intervals or in respect of such period or periods as may be specified in the notice, with such information as may be specified in the notice and as the Registrar may reasonably require for the performance of his functions under this Act; or
 - (b) direct such bank, controlling company or subsidiary to furnish the Registrar with a report by a public accountant as defined in section 1 of the Public Accountants' and Auditors' Act, 1991 ([Act No. 80 of 1991](#)), or by any other person with appropriate professional skill, on any matter, or any aspect of any matter, about which the Registrar has directed or may direct under paragraph (a) the bank, controlling company or subsidiary to furnish information.

[paragraph (b) substituted by section 3 of [Act 9 of 1993](#)]
- (2) The public accountant or other person appointed by a bank, controlling company or subsidiary to make a report required under subsection (1)(b), shall be a person designated or approved by the Registrar, and the Registrar may require the relevant report to be in such form as may be specified in the notice referred to in subsection (1).

8. Power of Registrar to extend certain periods

- (1) Any person who is required to submit to the Registrar or to furnish the Registrar with any return, statement, report or other document or information within a period determined by or under this Act, may before or after the expiry of that period apply to the Registrar in writing for an extension of that period.
- (2) The Registrar may, after consideration of an application referred to in subsection (1)—
 - (a) grant the application and extend by such period as he may determine the period within which the return, statement, report or other document or information had to be submitted or furnished; or
 - (b) refuse the application,and shall in writing notify the person who lodged the application of his decision.

9. Appeal against decisions of Registrar

- (1) Any person aggrieved by a decision taken by the Registrar under a provision of this Act may within the prescribed period and in the prescribed manner and upon payment of the prescribed fees appeal against such decision to the board of appeal established by subsection (2).

[subsection (1) substituted by section 2 of [Act 42 of 1992](#) and by section 4(a) of [Act 9 of 1993](#)]
- (2) For the purposes of this Act there is hereby established a board of appeal which shall consist of five members, appointed by the Minister and of whom—
 - (a) one shall be appointed on account of his knowledge of law and shall be the chairman;
 - (b) three shall be persons who in the opinion of the Minister have wide experience of, and are knowledgeable about the latest developments in, the banking industry; and

[paragraph (b) substituted by section 4(b) of [Act 9 of 1993](#)]

 - (c) one shall be a person registered as an accountant and auditor under section 15 of the Public Accountants' and Auditors' Act, 1991 ([Act No. 80 of 1991](#)), and who in the opinion of the

Minister has wide experience of, and is knowledgeable about the latest developments in, the accountants' and auditors' profession.

[paragraph (c) substituted by section 4(b) of [Act 9 of 1993](#)]

- (3) For the purposes of the hearing of every appeal in terms of subsection (1), the board of appeal shall be constituted as follows, namely—

- (a) the chairman;
- (b) at least two of the members appointed under subsection (2)(b), designated by the chairman; and

[paragraph (b) substituted by section 4(a) of [Act 26 of 1994](#)]

- (c) the member appointed under subsection (2)(c),

and any reference to the board of appeal in subsections (4), (7), (8), (9), (10), (11), (12) and (13) shall be deemed to be a reference to the board of appeal as so constituted.

- (4) If before or during the hearing of any appeal in terms of subsection (1) it transpires that any member of the board of appeal has any direct or indirect personal interest in the outcome of that appeal, such member shall recuse himself and he shall be replaced by—
- (a) in the case of the member referred to in subsection (2)(a), a person temporarily appointed, subject to the provisions of that subsection, by the Minister for the purposes of the hearing of that appeal;
 - (b) in the case of a member referred to in subsection (2)(b), one of the other members referred to in that subsection or, if all the members referred to in subsection (2)(b) have been designated as contemplated in subsection (3)(b), a person temporarily appointed, subject to the provisions of subsection (2)(b), by the Minister for the purposes of the hearing of that appeal; or
- [paragraph (b) substituted by section 4(b) of [Act 26 of 1994](#)]*
- (c) in the case of the member referred to in subsection (2)(c), a person temporarily appointed, subject to the provisions of that subsection, by the Minister for the purposes of the hearing of that appeal.

- (5) A member of the board of appeal shall hold office for a period of three years and shall on the expiration of his term of office be eligible for reappointment.
- (6) Any casual vacancy that occurs on the board of appeal shall be filled by the appointment by the Minister, subject to the provisions of subsection (2), of another member, and any person so appointed shall hold office for the unexpired portion of the period of office of his predecessor.
- (7) An appeal under subsection (1) shall be heard on the date and at the place and time fixed by the board of appeal, which shall previously in writing notify the appellant as well as the Registrar thereof.
- (8) The board of appeal may for the purposes of an appeal lodged with it—
- (a) summon any person who, in its opinion, may be able to give material information concerning the subject of the appeal or who it believes has in his possession or custody or under his control any document which has any bearing upon the subject of the appeal, to appear before it at a time and place specified in the summons, to be interrogated or to produce that document, and retain for examination any document so produced;
 - (b) administer an oath to or accept an affirmation from any person called as a witness at the appeal; and
 - (c) call any person present at the hearing of the appeal as a witness and interrogate him and require him to produce any document in his possession or custody or under his control.

- (9) The procedure at the hearing of an appeal shall be determined by the chairman of the board of appeal.
- (10) The board of appeal may after hearing the appeal—
 - (a) confirm, set aside or vary the relevant decision of the Registrar; and
 - (b) direct the Registrar to execute the decision of the board of appeal in connection therewith.
- (11) The decision of a majority of the members of the board of appeal shall be the decision of that board: Provided that in the event of an equality of votes the chairman shall have a casting vote in addition to a deliberative vote.
[subsection (11) substituted by section 4(c) of [Act 26 of 1994](#)]
- (12) The decision of the board of appeal shall be in writing, and a copy thereof shall be furnished to the appellant as well as to the Registrar.
- (13) If the board of appeal sets aside any decision by the Registrar, the prescribed fees paid by the appellant in respect of the appeal in question shall be refunded to him, and if the board of appeal varies any such decision, it may in its discretion direct that the whole or any part of such fees be refunded to the appellant.
- (14) A member of the board of appeal shall in respect of his services as such a member be paid such remuneration, including reimbursement for transport, travelling and subsistence expenses incurred by him in the performance of his functions as such a member, as the Minister may from time to time determine.

10. Annual report by Registrar

- (1) The Registrar shall annually submit to the Minister a report on his activities in terms of this Act during the year under review.
- (2) The Minister shall lay a copy of the report referred to in subsection (1) upon the Tables in Parliament within 14 days after receipt of such report, if Parliament is then in ordinary session, or, if Parliament is not then in ordinary session, within 14 days after the commencement of its next ensuing ordinary session.

Chapter III Authorization to establish, and registration and cancellation of registration of banks

11. Registration a prerequisite for conducting business of bank

- (1) Subject to the provisions of section 18A, no person shall conduct the business of a bank unless such person is a public company and is registered as a bank in terms of this Act.
[subsection (1) substituted by section 5 of [Act 26 of 1994](#)]
- (2) Any person who contravenes a provision of subsection (1) shall be guilty of an offence.

12. Application for authorization to establish bank

- (1) Any person who wishes to conduct the business of a bank may apply to the Registrar for authorization to establish such a bank.
[subsection (1) amended by section 25(c) of [Act 9 of 1993](#)]

- (2) An application under subsection (1)—
- (a) shall be made in the prescribed manner and on the prescribed form; and
 - (b) shall be accompanied by a statement containing the prescribed information.
- (3) The Registrar may require an applicant contemplated in subsection (1) to furnish him with—
- (a) such information or documents, in addition to information and documents furnished by the applicant in terms of subsection (2); or
 - (b) a report by a public accountant as defined in section 1 of the Public Accountants' and Auditors' Act, 1991 ([Act No. 80 of 1991](#)), or by any other knowledgeable person approved by the Registrar, on such aspects relating to the application in question,
- [paragraph (b) substituted by section 5 of [Act 9 of 1993](#)]*
- as the Registrar may deem necessary.

13. Granting or refusal of application for authorization

- (1) Subject to the provisions of subsection (2), the Registrar may, after considering all information, documents and reports furnished to him for the purposes of an application under section 12, grant or refuse the relevant application or grant the application subject to such conditions as he may determine.
- (2) The Registrar shall not grant an application made under section 12 unless he is satisfied—
- (a) that the establishment of the proposed bank will be in the public interest;
 - (b) that the business the applicant proposes to conduct, is that of a bank ;
 - (c) that the applicant will conduct the proposed business of a bank in the capacity of a public company incorporated and registered under the Companies Act;
 - (d) that the applicant will be able to establish itself successfully as a bank ;
 - (e) that the applicant will have the financial means to comply, in the capacity of a bank, with the requirements of this Act;
 - (f) that the business of the proposed bank will be conducted in a prudent manner;
 - (fA) that every person who is to be a director or an executive officer of the proposed bank is, as far as can reasonably be ascertained, a fit and proper person to hold the office of such director or executive officer;
- [paragraph (fA) inserted by section 6(a) of [Act 9 of 1993](#)]*
- (g) that every person who is to be an executive officer of the proposed bank has sufficient experience of the management of the kind of business it is intended to conduct; and
 - (h) that the composition of the board of directors of the proposed bank will be appropriate having regard to the nature and scale of the business it is intended to conduct.
- (3) When the Registrar grants or refuses an application made under section 12, he shall give written notice of that fact to the applicant concerned.
- (4) *[subsection (4) deleted by section 6(b) of [Act 9 of 1993](#)]*

14. Revocation of authorization

- (1) The Registrar may at any time prior to the provisional registration, in terms of section 17, of a bank, revoke the authorization granted for the establishment of such a bank if the Registrar is satisfied that—
 - (a) false or misleading information was furnished in the application for such authorization; or
 - (b) success has not been achieved within a period of six months as from the date of the granting of the said authorization, with the formation, in accordance with the proposals contained in the application for the said authorization, of the proposed bank.

[subsection (1) amended by section 25(c) of Act 9 of 1993]

- (2) When the Registrar revokes an authorization in terms of subsection (1), he shall give written notice of that fact to the person to whom the authorization was granted.

15. Formation of certain companies prohibited except with approval of Registrar

- (1) No public company shall without the written approval of the Registrar be formed in terms of the Companies Act to conduct the business of a bank in accordance with the provisions of this Act.
- (2) The Registrar shall grant the approval referred to in subsection (1) only if he is of the opinion that the company concerned will probably, having regard to the provisions of section 17, be eligible for provisional registration as a bank in terms of this Act.
- (3) Notwithstanding anything to the contrary contained in the Companies Act, the Registrar of Companies shall not register in terms of that Act the memorandum of association and articles of association of a public company formed for the purpose of conducting the business of a bank, unless the application for such registration is accompanied by the approval referred to in subsection (1).

16. Application for provisional registration as bank

- (1) An applicant to whom the Registrar has under section 13 granted authorization for the establishment of a bank (hereinafter in this Chapter referred to as the institution) may at any time during the period of 12 months commencing on the date of the granting of the said authorization apply to the Registrar for the provisional registration of the institution, as a bank, provided such authorization has not been revoked in terms of section 14 (1).
- (2) An application under Subsection (1) shall—
 - (a) be made in the prescribed manner and on the prescribed form; and
 - (b) be accompanied by—
 - (i) two copies each of the institution's memorandum of association and articles of association;
 - (ii) a written statement in which is set out—
 - (aa) the full and the abbreviated name of the institution as well as the literal translations thereof;
 - (bb) the address of the institution's head office as well as its postal address;
 - (cc) full particulars of the business the applicant proposes to conduct and of the manner in which it proposes to conduct such business; and
 - (dd) the full names and the addresses of the chairman, the other directors and the executive officers of the institution; and

- (iii) a list of shareholders in the institution, as at the date of the application, drawn up in accordance with the requirements with which a return referred to in section [59](#) has to comply.
- (3) The Registrar may require an applicant contemplated in subsection [\(1\)](#) to furnish him with such information or documents, in addition to information and documents furnished by the applicant in terms of subsection [\(2\)](#), as the Registrar may deem necessary.
- (4) The application and every document lodged in terms of subsection [\(2\)](#) or [\(3\)](#) shall be signed by the chairman or the chief executive officer of the institution.

17. Granting or refusal of application for provisional registration

- (1) Subject to the provisions of subsection [\(2\)](#), the Registrar shall, after considering all information and documents furnished to him in terms of section [16](#) for the purposes of an application under that section, grant such application if he is satisfied—
 - (a) that the business the applicant proposes to conduct is that of a bank;
 - (b) that the applicant does not propose to adopt undesirable methods of conducting business; and
 - (c) that the memorandum of association and articles of association of the institution are consistent with this Act and are not undesirable for any reason.
- (2) Notwithstanding the provisions of subsection [\(1\)](#), the Registrar may refuse an application for the provisional registration of an institution as a bank if he is of the opinion—
 - (a) that any of the requirements specified in section [13 \(2\)](#) is no longer complied with by or in respect of the institution concerned;
 - (b) that the institution concerned, when provisionally or finally registered as a bank, will probably not be able to comply with a provision of this Act, or is likely to pursue a practice contrary to a provision of this Act;
 - (c) that an interest which any person has in the institution concerned is inconsistent with a provision of this Act;
 - (d) that the interests of potential depositors with the institution concerned will be detrimentally affected by the manner in which the institution proposes to conduct its business, or for any other reason;
 - (e) that the name of the institution concerned—
 - (i) is identical with a name under which an existing bank or a mutual building society has already been provisionally or finally registered;
 - (ii) so closely resembles the name of an existing bank or mutual building society that the one is likely to be mistaken for the other;
 - (iii) is identical with, or closely resembles, the name under which any bank or any other institution which was registered under any law repealed by this Act, or any mutual building society, was previously registered and that reasonable ground for objection against the use of that name by the institution concerned exists; or
 - (iv) is likely to mislead the public; or
 - (f) that the application does not comply with a requirement of this Act.
- (3) When the Registrar in terms of this section grants or refuses an application for provisional registration, he shall give written notice of that fact to the applicant concerned.

- (4) If the Registrar in terms of this section grants an application for provisional registration he shall, subject to the provisions of section 18, and on payment by the applicant of the prescribed registration fee, provisionally register the institution concerned as a bank and issue to the institution, on the prescribed form, a certificate of provisional registration as a deposit-taking institution,
- (5) An institution which is for the first time provisionally registered as a bank shall not commence doing the business of a bank until it has furnished proof to the Registrar that it complies with the provisions of section 70.
- (6) An institution which contravenes the provisions of subsection (5) shall be guilty of an offence.

18. Conditions, duration and renewal of provisional registration

- (1) The provisional registration under section 17 of an institution as a bank shall be for a period of 12 months and shall be subject to such conditions as the Registrar may determine.
- (2) The Registrar may in his discretion and subject to the same or any other or further conditions, from time to time before its expiration renew such provisional registration for periods not exceeding 12 months at a time: Provided that—
 - (a) no bank shall remain provisionally registered as such for an aggregate period exceeding five years; and
 - (b) without derogating from the Registrar's discretion in terms of this subsection to grant or refuse the renewal of such provisional registration, the Registrar may accept the fact that the institution concerned has not, during the period of six months expiring on the last day of the period of 12 months referred to in subsection (1), conducted any business as a bank, as a conclusive ground for the refusal of such a renewal.
- (3) In addition to any other condition which the Registrar may impose under subsection (1) or (2), he may impose a condition requiring the institution concerned to take within a specified period such steps in terms of the Companies Act as may be necessary to alter its memorandum of association or articles of association in accordance with the requirements of the Registrar.
- (4)
 - (a) An appeal in terms of section 9 by a bank against the Registrar's refusal to renew or further renew its provisional registration shall, notwithstanding the provisions of section 9, be lodged before such provisional registration or renewed provisional registration expires.
 - (b) If the provisional registration or renewed provisional registration expires while an appeal referred to in paragraph (a) is being considered, such provisional registration or renewed provisional registration, as the case may be, shall be deemed to have been renewed or further renewed until the appellant is notified of the board of appeal's decision on the appeal.

18A. Branches of foreign institutions

- (1) An institution which has been established in a country other than the Republic and which lawfully conducts in such other country a business similar to the business of a bank (hereinafter in this section referred to as the foreign institution) may, notwithstanding the provisions of section 11(1), with the prior written authorization of the Registrar and subject to the prescribed conditions and to such further conditions, if any, as the Registrar may determine, conduct the business of a bank by means of a branch in the Republic.
- (2) To obtain the authorization of the Registrar as contemplated in subsection (1), the foreign institution concerned shall in the prescribed manner and on the prescribed form lodge with the Registrar a written application which shall be accompanied by—
 - (a) a written statement containing the prescribed information; and
 - (b) the prescribed fee.

- (3) The Registrar may require the foreign institution applying in terms of subsection (2) to furnish him with—
- (a) such information or documents, in addition to information and documents furnished by the foreign institution in terms of subsection (2); or
 - (b) such further information with regard to the nature and extent of supervision exercised or to be exercised by the responsible supervisory authority of the foreign institution's country of domicile in respect of—
 - (i) the proposed branch in the Republic;
 - (ii) the foreign institution itself; or
 - (iii) any group of institutions of which the foreign institution may form a part,as the Registrar may deem necessary.
- (4) When the Registrar grants or refuses an application in terms of subsection (2) for authorization to conduct the business of a bank by means of a branch in the Republic, he shall give written notice of that fact to the applicant concerned.
- (5) The Registrar shall not grant an application in terms of subsection (2) unless he is satisfied that proper supervision as contemplated in subsection (3)(b) is or will be exercised by the responsible supervisory authority of the foreign institution's country of domicile.
- (6) If the Registrar grants an application referred to in subsection (4) he shall on the prescribed form issue to the foreign institution concerned a certificate of authorization to conduct the business of a bank by means of a branch in the Republic.
- (7) Any foreign institution that conducts the business of a bank by means of a branch in the Republic without having obtained the Registrar's written authorization referred to in subsection (1) shall be guilty of an offence.

[section 18A inserted by section 11 of Act 26 of 1994]

18B. Cancellation or suspension of authorization by Registrar and notice by Registrar of intention to cancel or suspend authorization

- (1) The Registrar may, subject to the provisions of subsections (2) and (3), in the case of a foreign institution that, under an authorization referred to in section 18A, conducts the business of a bank by means of a branch in the Republic, with the consent of the Minister and by notice in writing to the foreign institution concerned cancel, or suspend on such conditions as the Registrar may deem fit, such authorization if the foreign institution concerned has failed to comply with a prescribed condition or a further condition, contemplated in section 18A(1), to which its authorization is subject.
- (2) The Registrar shall, before cancelling or suspending under subsection (1) the authorization of a foreign institution referred to in subsection (1), in a written notice addressed to the foreign institution concerned—
- (a) inform the foreign institution of his intention to cancel or suspend, as the case may be, such authorization;
 - (b) furnish the foreign institution with the reasons for the intended cancellation or suspension; and
 - (c) call upon the foreign institution to show cause within a period specified in the notice, which shall not be less than 30 days as from the date of the notice, why its authorization should not be so cancelled or suspended.

- (3) After considering any representations received within the specified period from the foreign institution concerned by virtue of the provisions of subsection (2)(c), the Registrar may in his discretion—
- (a) proceed with the cancellation or suspension in terms of subsection (1) of the authorization; or
 - (b) refrain from taking any further steps in terms of subsection (1), and the Registrar shall in writing inform the foreign institution concerned of his decision in terms of this subsection.

[section 18B inserted by section 11 of [Act 26 of 1994](#)]

19. Application for final registration as bank

- (1) An institution which is provisionally registered as a bank may at any time while it is provisionally registered apply to the Registrar in the prescribed manner and on the prescribed form for final registration as a bank.
- (2) An institution applying in terms of subsection (1) for final registration as a bank shall furnish such additional information in connection with its application as the Registrar may require.

20. Granting or refusal of application for final registration

- (1) The Registrar may in his discretion grant or refuse an application under section 19 for final registration, or may grant such application subject to such conditions as he may determine, but the Registrar shall not grant an application unless he is satisfied that—
 - (a) the institution concerned has satisfied all the conditions subject to which it was provisionally registered;
 - (b) the institution concerned has complied and will be able to continue to comply with all the other requirements of this Act which are applicable to it in its capacity as a provisionally or finally registered bank ;
 - (c) the board of directors and the executive management of the Institution concerned have during the period preceding the application for final registration demonstrated their integrity and their ability to conduct the business of a bank successfully; and
 - (d) the business of a bank conducted by the institution concerned is conducted in a prudent manner and without resort to undesirable practices.
- (2) When the Registrar in terms of this section grants or refuses an application for final registration, he shall give written notice of that fact to the applicant concerned.
- (3) If the Registrar in terms of this section grants an application for final registration he shall on payment by the applicant of the prescribed registration fee, finally register the institution concerned as a bank and issue to the institution, on the prescribed form, a certificate of final registration as a bank.
- (4) Refusal in terms of this section of an application for final registration—
 - (a) shall, subject to the provisions of section 18 (2) (a), not affect the provisional registration of the institution concerned as a bank ; and
 - (b) shall not prevent the institution concerned, while its provisional registration is in force, from reapplying under section 19 for final registration as a bank.

21. Untrue information in connection with applications

Any person who in or in connection with—

- (a) an application for authorization to establish a bank ;

- (b) an application for provisional or final registration as a bank ; or
- (c) an application for the renewal of such a provisional registration,

furnishes the Registrar with any information which to the knowledge of such person is untrue or misleading in any material respect, shall be guilty of an offence.

22. Use of name of bank

- (1) Subject to the provisions of subsection (2), an institution which is provisionally or finally registered as a bank shall not use, or refer to itself by, a name other than the name under which it is so registered, or any literal translation or abbreviation thereof which has been approved by the Registrar.
- (2) An institution referred to in subsection (1) may, with the consent of the Registrar, in conjunction with its registered name use, or refer to itself by, the name of another bank with which it has amalgamated or all the assets and liabilities of which have, as contemplated in section 54 (1), been transferred to it or, in the case of a change of name, the name by which it was previously known.
- (3) An institution which contravenes the provisions of subsection (1) shall be guilty of an offence.
- (4) Any person who, in connection with any business conducted by him—
 - (a) uses, or refers to himself by, any name, description or symbol indicating, or calculated to lead persons to infer, that he is a bank provisionally or finally registered as such under this Act; or
 - (b) in any other manner holds himself out to be a bank provisionally or finally registered as such under this Act,

while he is not so registered as a bank, shall be guilty of an offence.

- (5) No person shall use in respect of any business a name or description which includes the word “bank”, or any derivative thereof, or the words “deposit-taking institution” or “building society”, or any derivative thereof, unless—
 - (a) the business in question is a bank or is authorized under section 18A to conduct the business of a bank by means of a branch in the Republic; or
[paragraph (a) substituted by section 15(c) of Act 26 of 1994]
 - (b) the business in question is registered as a controlling company in respect of a bank under this Act and the name or description in question is so used for the purpose of indicating the connection between the two companies concerned; or
 - (c) such name or description is composed of words which include the word “bank” as part of a place-name or a personal name,

and the Registrar has in writing authorized such person so to use such name or description.

[subsection (5) amended by section 7(a) of Act 9 of 1993]

- (6) Notwithstanding the prohibition contained in subsection (5), a company—
 - (a) of which the formation has been approved by the Registrar in terms of section 15, may be formed under a name which includes the word “bank” or the words “deposit-taking institution” or “building society”, or a derivative thereof; or
 - (b) whose application for provisional registration as a bank has been granted by the Registrar under section 17 and which has not been formed in accordance with paragraph (a) of this subsection under a name which already includes the word “bank” or the words “deposit-taking institution” or “building society”, or a derivative thereof, may before its provisional

registration take the necessary steps in accordance with the Companies Act to include such word, words or derivative in its name.

[subsection (6) substituted by section 7(b) of [Act 9 of 1993](#)]

- (7) The Registrar may in writing direct a company referred to in subsection (6) whose name includes the word "bank" or the words "deposit-taking institution" or "building society" or any derivative thereof, to remove such word, words or derivative from its name—
- (a) in the case of a company referred to in paragraph (a) of that subsection, if it fails to apply in terms of section [16 \(1\)](#) for provisional registration as a bank within the period of 12 months referred to in that section, or if its application for such registration is refused under section [17](#); and
 - (b) in the case of a company referred to in paragraph (b) of that subsection, if it fails to comply, within a reasonable time after its application for provisional registration has been granted under section [17](#), with the condition; subject to which it was provisionally registered.

[subsection (7) amended by section 7(c) of [Act 9 of 1993](#)]

- (8) Any person who contravenes any provision of subsection (5) or refuses or fails to comply with a direction under subsection (7) shall be guilty of an offence.
- (9) The provisions of subsection (5) shall not be construed as prohibiting the use in respect of any company, society, firm, business or undertaking of any name, style or description which immediately prior to the commencement of this Act was lawfully so used in terms of the provisions of any law repealed by this Act.

23. Cancellation or suspension of registration by Registrar

- (1) The Registrar may, subject to the provisions of section [24](#), in the case of a bank which is provisionally registered as such, with the consent of the Minister and by notice in writing to the institution concerned cancel, or suspend on such conditions as the Registrar may deem fit, such provisional registration if the institution has not conducted any business as a bank during the period of six months commencing on the date on which the institution was for the first time provisionally registered as a deposit-taking institution.
- (2) The Registrar may, subject to the provisions of section [24](#), in the case of a bank which is provisionally or finally registered as such, with the consent of the Minister and by notice in writing to the institution concerned cancel, or suspend on such conditions as the Registrar may deem fit, such provisional or final registration if—
- (a) it has, in the opinion of the Registrar, been obtained on the strength of untrue or misleading information furnished by any person and such person has, on account of having so furnished such information, been convicted of an offence in terms of section [21](#); or
 - (b) in the case of a bank of which the main place of business is situated in a country other than the Republic, the authorization in terms of which the institution concerned is authorized to conduct business in such other country similar to the business of a bank, is revoked by the competent authority in such other country.
- (3) The Registrar may, subject to the provisions of section [24](#), in the case of a bank which is finally registered as such, with the consent of the Minister and by notice in writing to the institution concerned cancel such registration if the institution has ceased to conduct the business of a bank or is no longer in operation.

24. Notice by Registrar of intention to cancel or suspend registration

- (1) The Registrar shall, before cancelling or suspending under section 23 the provisional or final registration of a bank, in a written notice addressed to the chairman or chief executive officer of the institution concerned—
 - (a) inform the institution of his intention to cancel or suspend, as the case may be, such registration;
 - (b) furnish the institution with the reasons for the intended cancellation or suspension; and
 - (c) call upon the institution to show cause within a period specified in the notice, which shall not be less than 30 days as from the date of the notice, why its provisional or final registration, as the case may be, should not be so cancelled or suspended.
- (2) After considering any representations received within the specified period from the institution concerned by virtue of the provisions of subsection (1)(c), the Registrar may in his discretion—
 - (a) proceed with the cancellation or suspension in terms of section 23, of the relevant registration; or
 - (b) refrain from taking any further steps in terms of section 23,

and the Registrar shall in writing inform the chairman or chief executive officer of the institution concerned of his decision in terms of this subsection.

25. Cancellation or suspension of registration by court

- (1) The Registrar may by way of application on notice of motion apply to a competent court for an order cancelling or suspending the provisional or final registration of a bank if in the opinion of the Registrar there exist grounds, other than the grounds referred to in section 23, justifying such cancellation or suspension.
- (2) A competent court for the purposes of subsection (1) shall be any provincial or local division of the Supreme Court of South Africa within the area of jurisdiction of which the registered office, referred to in section 170 of the Companies Act, of the bank concerned is situated.
- (3) The court entertaining an application made under subsection (1) shall enquire into and consider the matter and shall grant or refuse the application, and may make such order as to costs as it may deem fit.
- (4) In addition to any other grounds which the court may consider sufficient to justify the granting of an order under subsection (1) cancelling or suspending the provisional or final registration of a bank, such an order may also be granted if the institution concerned—
 - (a) has, or any of its directors or executive officers has, been convicted of any offence in terms of this Act;
 - (b) does not carry on satisfactorily the business of a bank;
 - (c) has failed to comply with a requirement of this Act which is applicable to it in its capacity as a provisionally or finally registered bank;
 - (d) continues to employ an undesirable practice; or
 - (e) has in a material respect misrepresented the facilities which it offers to the general public,

or if, on any other ground advanced by the Registrar in the relevant application, the court is of the opinion that it is not in the public interest to allow the institution concerned to continue its activities as a bank.

26. Restriction by Registrar of activities of bank

- (1) The Registrar may, in lieu of an application under section [25 \(1\)](#), by written notice to a provisionally or finally registered bank in respect of which, in the opinion of the Registrar, any of the circumstances mentioned in paragraphs (a) to (e), inclusive, of section [25 \(4\)](#) is present, restrict the activities of the institution concerned as a bank in such respects and on such conditions as the Registrar may specify in the notice.
- (2) The provisions of section [24](#) shall *mutatis mutandis* apply in respect of the restriction of the activities of a bank by the Registrar under subsection [\(1\)](#).

27. Cancellation of registration at request of bank

The Registrar shall cancel the provisional or final registration, as the case may be, of a bank upon submission to him by the institution concerned of a special resolution contemplated in section 200 of the Companies Act authorizing such cancellation.

28. Cancellation of registration upon winding-up

When the affairs of a bank have been completely wound up as contemplated in section 419 (1) of the Companies Act, the responsible Master of the Supreme Court shall transmit to the Registrar a copy of the certificate referred to in that section, and the Registrar shall upon receipt of such copy cancel the provisional or final registration, as the case maybe, of the bank concerned.

29. Withdrawal of suspension or restriction

- (1) The Registrar may on the written application of a bank of which—
 - (a) the provisional or final registration was suspended under section [23](#); or
 - (b) the activities were restricted under section [26](#),by written notice to the institution concerned withdraw such suspension or restriction, as the case may be, provided the Registrar is satisfied that the institution has complied with all requirements for such withdrawal imposed by the Registrar in the conditions of suspension or restriction.
- (2) Application for an order discharging an order under section [25](#) whereby the provisional or final registration of a bank has been suspended by the court, may be made to the competent court referred to in section [25 \(2\)](#).

30. Publication of information relating to banks and representative offices of foreign institutions

The Registrar shall publish a notice in the *Gazette*—

- (a) of every—
 - (i) provisional or final registration of an institution as a bank;
 - (ii) cancellation or suspension of such a registration;
 - (iii) expiration of such a provisional registration;
 - (iv) restriction of the activities of a bank;
 - (v) withdrawal of such suspension or restriction; or
 - (vi) change of the name of a bank;

which is effected or which takes place in terms of this Act; and

- (b) of every consent to the establishment in the Republic of a representative office of a foreign institution which has been granted by him in terms of section 34; and
[paragraph (b) substituted by section 23(e) of [Act 26 of 1994](#)]
- (c) of every authorization to conduct the business of a bank by means of a branch in the Republic which has been granted by him to a foreign institution under section 18A.
[paragraph (c) added by section 23(f) of [Act 26 of 1994](#)]
[section 30 substituted by section 8 of [Act 9 of 1993](#)]

31. Date on which registration lapses

An institution registered as a bank shall cease to be registered as such—

- (a) in the case of a provisional registration of which the period or, if such registration was renewed under section 18 (2), the period of such renewed registration has expired and such registration has not been renewed or further renewed under that section, upon the expiry of that period;
- (b) in the case of a registration cancelled by the Registrar under section 23, upon expiry of 30 days after the date of the notice referred to in subsection (1), (2) or (3) of that section or, if an appeal against such cancellation was lodged with the board of appeal in terms of section 9 before the expiry of the said 30 days and the board of appeal has confirmed such cancellation, upon the date on which the institution concerned is notified of such confirmation;
- (c) in the case of a registration in respect of which the court has granted an order under section 25 cancelling the registration, upon the date on which that order comes into force; or
- (d) in the case of a registration cancelled by the Registrar in terms of section 27 or 28, upon such date as may be determined by the Registrar.

32. Repayment of deposits upon lapse of registration

- (1) Whenever an institution which is provisionally or finally registered as a bank ceases to be registered as such, the Registrar may in writing order that institution—
 - (a) to repay, in accordance with such directions and within such period as may be specified in the order, all money due by it to members of the public in respect of deposits accepted by it while registered as a bank, including any interest or any other amounts owing by it in respect of such money; and
 - (b) to change its name and its memorandum of association and articles of association within the period and in the manner required by the Registrar.
- (2) Different directions and periods may under subsection (1) be determined in respect of different kinds of deposits: Provided that in determining such directions and periods no preference shall be given to any such member of the public which he does not in law enjoy.
- (3) An institution which by virtue of the provisions of subsection (1) repays a deposit before the due date agreed for the repayment thereof, shall not be bound to pay any interest or any other amounts which would have been payable in respect of such deposit for the period from the date of such repayment up to such due date.
- (4) Any institution which fails to comply with an order under subsection (1) shall—
 - (a) be guilty of an offence; and
 - (b) for the purposes of sections 344 and 345 of the Companies Act be deemed not to be able to pay its debts.

33. Reregistration in terms of this Act

- (1) Every institution which on the date immediately preceding the date of commencement of the Deposit-taking Institutions Amendment Act, 1993 (hereinafter in this section referred to as the Amendment Act), is deposit-taking institution that has been provisionally or finally registered as such under the provisions of this Act as those provisions existed prior to the amendment thereof by the Amendment Act shall, in accordance with and subject to the provisions of subsections (2) and (3)—
 - (a) in the case of an institution that has so been provisionally registered as a deposit-taking institution, be provisionally registered as a bank; and
 - (b) in the case of an institution that has so been finally registered as deposit-taking institution, be finally registered as a bank,by the Registrar in terms of the provisions of this Act as so amended, as soon as is practicable after the said date of commencement.
- (2) The Registrar shall when complying with the provisions of subsection (1) issue to the institution in question a certificate of provisional or final registration as a bank, as the case may be.
- (3) The reregistration of an institution in terms of this section shall in the case of a provisional registration be for the unexpired portion of the period of the institution's former provisional registration as a deposit-taking institution.
- (4) Upon the reregistration of an institution in terms of this section its previous registration as a deposit-taking institution shall be deemed to have lapsed and any certificate of registration issued in respect thereof shall be deemed to have been cancelled.
- (5) No fees shall be payable in respect of a reregistration in terms of this section.

[section 33 substituted by section 9 of [Act 9 of 1993](#)]

34. Representative offices of foreign institutions

- (1) An institution which has been established in a country other than the Republic and which lawfully conducts in such other country a business similar to the business of a bank (hereinafter in this section referred to as a foreign institution), may not establish a representative office in the Republic without having previously obtained the written consent of the Registrar.
- (2) The consent referred to in subsection (1) shall be obtained by way of a written application to the Registrar in which is specified—
 - (a) the name of the foreign institution;
 - (b) the country in which it is established;
 - (c) the name of its proposed chief representative officer in the Republic; and
 - (d) the address of its proposed representative office in the Republic,

and the application shall be accompanied by the prescribed fee and a certificate of the competent authority in the other country in question to the effect that the foreign institution concerned is by or under the laws of that other country authorized to conduct a business in such country similar to the business of a bank.

[subsection (2) amended by section 27(a) of [Act 26 of 1994](#)]

- (2A) If the Registrar grants an application in terms of subsection (2) for his consent to the establishment of a representative office in the Republic he shall on the prescribed form issue to the foreign

institution concerned a certificate of authorization for the establishment of a representative office in the Republic.

[subsection (2A) inserted by section 27(b) of [Act 26 of 1994](#)]

- (3) After the establishment of a representative office in terms of this section the foreign institution concerned shall in writing notify the Registrar—
- (a) of any change of the name of the institution;
 - (b) of any substitution of its chief representative officer in the Republic;
 - (c) of any change of the address of the representative office; or
 - (d) of the closing of the representative office,
- as soon as it occurs.
- (4) A representative office contemplated in this section may not conduct the business of a bank in the Republic.

35. Annual licence

A bank, a branch by means of which a foreign institution is under section [18A](#) authorized to conduct the business of a bank in the Republic and a representative office established in terms of section [34](#) shall obtain from the Registrar a business licence pertaining to its particular business in respect of each year ending on the thirty-first day of December against payment of the prescribed licence fees.

[section [35](#) substituted by section 28 of [Act 26 of 1994](#)]

Chapter IV

Shareholding in, and registration of controlling companies in respect of, banks

36. ***

[section [36](#) amended by section 3(a) and (b) of [Act 42 of 1992](#) and repealed by section 29 of [Act 26 of 1994](#)]

37. Permission for acquisition of shares in bank or controlling company

- (1) Subject to the provisions of subsection [\(6\)](#), no person shall acquire in a bank or controlling company shares—
- (a) of which the total nominal value; or
 - (b) of which the total nominal value together with the total nominal value or such shares already held by such person; or
 - (c) of which the total nominal value together with the total nominal value of such shares already held by such person and by his associate or associates,

amounts to more than 15 per cent of the total nominal value of all the issued shares of the bank or controlling company, without first having obtained permission in accordance with the provisions of subsection [\(2\)](#) for such acquisition.

[subsection [\(1\)](#) amended by section 4(a) of [Act 42 of 1992](#)]

- (2) (a) If, subject to the provisions of paragraph [\(c\)](#)—
- (i) any person has for a period of 12 months or such shorter period as the Registrar may deem fit held so many shares in a bank or controlling company as he may in accordance with the provisions of subsection [\(1\)](#) hold therein, he may, if the Registrar

has granted permission in writing thereto, acquire more than 15 per cent, but not exceeding 24 per cent, of those shares as contemplated in the said subsection;

- (ii) the said person has for a period of 12 months or such shorter period as the Registrar may deem fit held 24 per cent of those shares as so contemplated he may, if the Registrar has granted permission in writing thereto, acquire more than 24 per cent, but not exceeding 49 per cent, of those shares as contemplated in the said subsection (1);
- (iii) the said person has for a period of 12 months or such shorter period as the Minister may deem fit held 49 per cent of those shares as contemplated in the said subsection (1) he may, if the Minister has, through the Registrar, granted permission thereto in writing, acquire more than 49 per cent, but not exceeding 74 per cent, of those shares as contemplated in the said subsection; and
- (iv) he said person has for a period of 12 months or such shorter period as the Minister may deem fit held 74 per cent of those shares as contemplated in the said subsection (1) he may, if the Minister has, through the Registrar, granted permission thereto in writing, acquire more than 74 per cent of those shares as contemplated in the said subsection.

[paragraph (a) substituted by section 4(b) of [Act 42 of 1992](#)]

- (b) Permission in terms of paragraph (a) shall only be granted on application on the prescribed form and after consultation with the Competition Board established by section 3 of the Maintenance and promotion of Competition Act, 1979 ([Act No. 96 of 1979](#)).
- (c) Notwithstanding the provisions of paragraph (a), the Registrar or the Minister, as the case may be, may, if in a particular case he deems it fit to do so, grant permission for the acquisition of shares as contemplated in subparagraph (i), (ii), (iii) or (iv) of paragraph (a) without the applicant for such permission having held shares for the period of 12 months or any shorter period as required in any of the said subparagraphs.

[paragraph (c) added by section 4(c) of [Act 42 of 1992](#)]

- (3) If any person at the commencement of the Deposit taking Institutions Amendment Act, 1992, already holds more than 15 per cent of the shares in a bank or controlling company as contemplated in subsection (1), he may not acquire more of those shares as contemplated in the said subsection before he has obtained the appropriate permission in terms of subsection (2).

[subsection (3) substituted by section 4(d) of [Act 42 of 1992](#)]

- (4) Permission in terms of subsection (2) for the acquisition of shares in a bank or controlling company shall not be granted unless the Registrar or the Minister, as the case may be, is satisfied that the proposed acquisition of shares—
 - (a) will not be contrary to the public interest; and
 - (b) will not be contrary to the interests of the bank concerned or its depositors or of the controlling company concerned, as the case may be.
- (5) If, in the case of a shareholding contemplated in—
 - (a) subsection (2)(a)(i) and (ii), the Registrar; or
 - (b) subsection (2)(a)(iii) and (iv), the Minister,

is of the opinion that the retention of such shareholding in a bank or controlling company by a particular shareholder will be to the detriment of the bank or controlling company concerned, he may by way of application on notice of motion apply to the division of the Supreme Court in whose area of jurisdiction the head office of the bank or controlling company is situated, for an order—

- (i) compelling such shareholder to reduce, within a period determined by the court, his shareholding in that bank or controlling company to a shareholding, as contemplated in subsection (1), with a total nominal value of not more than 15 per cent of the total nominal value of all the issued shares of that bank or controlling company; and
- (ii) limiting, with immediate effect, the voting rights that may be exercised by such shareholder by virtue of his shareholding to 15 per cent of the voting rights attached to all the issued shares of the bank or controlling company concerned.

[subsection (5) substituted by section 4(e) of [Act 42 of 1992](#)]

- (6) The provisions of subsection (1) shall not apply to the acquisition of shares in a bank by a controlling company registered as such in respect of that bank.

[subsection (6) substituted by section 4(f) of [Act 42 of 1992](#)]

- (7) For the purposes of this section "associate"—

- (a) in relation to a natural person, means—
 - (i) a close relative of that person; or
 - (ii) any person who has entered into an agreement or arrangement with the first-mentioned person, relating to the acquisition, holding or disposal of or the exercising of voting rights in respect of, shares in the bank or controlling company in question;
- (b) in relation to a juristic person—
 - (i) which is a company, means any subsidiary or holding company of that company, any other subsidiary of that holding company and any other company of which that holding company is a subsidiary;
 - (ii) which is a close corporation registered under the Close Corporations Act, 1984 ([Act No. 69 of 1984](#)), means any member thereof as defined in section 1 of that Act;
 - (iii) which is not a company or a close corporation as contemplated in this paragraph, means another juristic person which would have been a subsidiary of the first-mentioned juristic person—
 - (aa) had such first-mentioned juristic person been a company; or
 - (bb) in the case where that other juristic person, too, is not a company, had both the first-mentioned juristic person and that other juristic person been a company;
 - (iv) means any person in accordance with whose directions or instructions the board of directors of or, in the case where such juristic person is not a company, the governing body of such juristic person is accustomed to act; and
- (c) in relation to any person—
 - (i) means any juristic person of which the board of directors or, in the case where such juristic person is not a company, of which the governing body is, accustomed to act in accordance with the directions or instructions of the person first-mentioned in this paragraph; and
 - (ii) includes any trust controlled or administered by that person.

[subsection (7) substituted by section 30 of [Act 26 of 1994](#)]

38. Registration of shares in name of nominees

- (1) Notwithstanding the provisions of the Companies Act, no bank or controlling company shall without the written approval of the Registrar—
 - (a) allot or issue any of its shares to, or register any of its shares in the name of, any person other than the intended beneficial shareholder;
 - (b) transfer any of its shares in the name of a person other than the beneficial shareholder; or
 - (c) after the commencement of this Act allow any of its shares to remain registered in the name of a person other than the beneficial shareholder.
- (2) Subsection (1) shall not affect the allotment or issue, or the registration of the transfer, of shares in a bank or controlling company—
 - (a) in the name of a trustee of a unit trust scheme as defined in section 1 of the Unit Trusts Control Act, 1981 ([Act No. 54 of 1981](#)), or of a nominated company of the trustee approved by the Registrar of Unit Trust Companies;
 - (b) in the name of any executor, administrator, trustee, curator, guardian or liquidator in the circumstances mentioned in section 103(3) of the Companies Act;
 - (c) for a period of not more than six months, in the name of a stock-broker or of a company established by him for a purpose mentioned in section 12(3) of the Stock Exchanges Control Act, 1985 ([Act No. 1 of 1985](#)), or of a company controlled by the bank or of an employee of the bank, if it is necessary that the shares be so allotted, issued or registered in order to facilitate delivery to the purchaser or to protect the rights of the beneficiary in respect of those shares or where the beneficiary is not known;
[paragraph (c) amended by section 17(a) of [Act 85 of 1992](#)]
 - (d) in the name of a person in other special circumstances determined by the Minister by notice in the *Gazette*; or
[paragraph (d) amended by section 17(b) of [Act 85 of 1992](#)]
 - (e) in the name of a central securities depository as defined in section 1 of the Safe Deposit of Securities Act, 1992.
[paragraph (e) added by section 17(c) of [Act 85 of 1992](#)]

39. Furnishing of information by shareholders

Any person desiring shares in a bank or controlling company to be allotted or issued to him or to be registered in his name, or in whose name such shares are registered, and any person acting on behalf of such a person, shall at the written request of the bank or controlling company furnish it with—

- (a) *[paragraph (a) deleted by section 31 of [Act 26 of 1994](#)]*
- (b) such information as may be required by the bank or controlling company for the purposes of complying with the provisions of section [38](#).

40. Absence of wrongful intent

If a bank or a controlling company or any director, officer, employee or agent of a bank or controlling company in good faith and on the strength of information reasonably obtained acts or fails to act and thereby unknowingly contravenes the provisions of section [38](#), such act or failure to act shall not constitute an offence.

[section [40](#) substituted by section 32 of [Act 26 of 1994](#)]

41. Effects of registration of shares contrary to Act

- (1) No person shall—
 - (a) either personally or by proxy granted to any other person, cast a vote attached to; or
 - (b) receive a dividend payable on,any share in a bank or controlling company allotted or issued to him or registered in his name in contravention of a provision of this Act.
- (2) The validity of any resolution adopted by a bank or controlling company shall not be affected by a vote being cast in contravention of subsection (1)(a), if that resolution was adopted by the requisite majority of votes which were validly cast.
- (3) A dividend referred to in subsection (1)(b) shall accrue to the bank or controlling company concerned.

42. Restriction of right to control bank

- (1) Subject to the provisions of section 37, no person other than a bank or an institution which has been approved by the Registrar and which conducts business similar to the business of a bank in a country other than the Republic may exercise control over a bank, unless such person is a public company and is registered as a controlling company in respect of such bank.
[subsection (1) substituted by section 5(1) of Act 42 of 1992 and by section 33(a) of Act 26 of 1994]
- (2) For the purposes of this Act a person shall be deemed to exercise control over a bank if, in the case where that person is a company, the bank is a subsidiary of that company, or, whether or not that person is a company, if that person by himself or together with his associates—
 - (a) holds shares in the bank of which the total nominal value represents more than 50 percent of the nominal value of all the issued shares of the bank, unless, due to limitations on the voting rights attached to the shares so held by the person by himself or together with his associates, as the case may be, such person voting on his own or such person and his associates voting at a group, is or are unable to decisively influence the outcome of the voting at a general meeting of the bank;
 - (b) is entitled to exercise more than 50 per cent of the voting rights in respect of the issued shares of that bank; or
 - (c) is entitled or has the power to determine the appointment of the majority of the directors of that bank, including—
 - (i) the power to appoint or remove, without the concurrence of any other person, all or the majority of such directors; or
 - (ii) the power to prevent any person from being appointed a director without his consent,and if a person's appointment as a director of the bank follows necessarily from his appointment as a director of the person first-mentioned in this subsection, the first-mentioned appointed shall for the purposes of this subsection be deemed to be an appointment by virtue of a power of a person so first-mentioned.
- (3) For the purposes of this section "associate" means an associate as defined in section 37(7).
[subsection (3) substituted by section 33(b) of Act 26 of 1994]

43. Application for registration as controlling company

- (1) A public company—
 - (a) which desires to exercise control over any bank; or
 - (b) which is a controlling company, as defined in section 1 of the Companies Act, in respect of any other public company which has applied in terms of section 16 for provisional registration as a bank,may apply to the Registrar on the prescribed form for registration as a controlling company in respect of that bank or proposed bank, as the case may be.
- (2) An application referred to in subsection (1) shall be accompanied by such information and documents as may be prescribed.
- (3) A public company applying in terms of subsection (1) for registration as a controlling company shall submit such additional particulars in connection with its application as the Registrar may require.

44. Granting or refusal of application for registration as controlling company

- (1) Subject to the provisions of subsection (2), the Registrar may, after considering all information, documents and particulars furnished in terms of section 43 for the purposes of an application under that section, grant or refuse the relevant application or grant the application subject to such conditions as he may impose.
- (2) The Registrar shall not grant an application made under section 43 unless he is satisfied—
 - (a) that the registration of the applicant as a controlling company will not be contrary to the public interest;
 - (b) that, in the case of an applicant applying for registration in the circumstances referred to in section 43 (1) (a), the applicant will be able to establish control, as contemplated in section 42 (2), over the bank concerned;
 - (c) that no provision of the memorandum of association or articles of association of the applicant is inconsistent with a provision of this Act or is undesirable in so far as it concerns banks;
 - (d) that every director or executive officer of the applicant is, as far as can reasonably be ascertained, a fit and proper person to hold the office of such director or executive officer, and that every such executive officer has sufficient knowledge and experience to manage the affairs of the applicant in its capacity of a controlling company;
 - (e) that the applicant is in a financially sound condition;
 - (f) that no interest which any person has in the applicant is inconsistent with a provision of this Act; and
 - (g) that the application complies with the requirements of this Act.
- (3) When the Registrar in terms of this section grants or refuses an application for registration as a controlling company, he shall give written notice of that fact to the applicant concerned.
- (4)
 - (a) If the Registrar in terms of this section grants an application he shall, upon compliance by the applicant with the conditions subject to which the application was granted and on payment of the prescribed registration fee, register the applicant concerned as a controlling company in respect of the, bank concerned and on the prescribed form issue to the applicant a certificate of registration as a controlling company in respect of the bank concerned.
 - (b) No applicant which has applied for registration as a controlling company in the circumstances referred to in section 43 (1) (b) shall be registered as such a controlling

company unless the company in respect of which it made such application is registered as a bank.

- (5) In addition to any other condition which the Registrar may impose under subsection (1), he may impose a condition requiring an applicant which applied for registration as a controlling company in the circumstances referred to in section 43 (1) (a)—
- (a) to furnish within a specified period proof to the satisfaction of the Registrar that it will immediately after its registration as a controlling company establish control over the bank in respect of which it desires to be registered; or
 - (b) to make an offer, within a specified period and on a basis and on conditions regarded by the Registrar as reasonable and fair, to persons holding shares in the said bank to take up shares in the applicant or to exchange shares held by them in the said bank for shares in the applicant.
- (6) (a) Whenever the Registrar has imposed a condition referred to in subsection (5) (b), he may, after consultation with the applicant concerned, designate a person to investigate, independently of the applicant, and to advise the Registrar on, the reasonableness and fairness of the basis and conditions on which the applicant intends to make the share offer in compliance with the condition.
- (b) The costs of an investigation in terms of paragraph (a) shall be paid by the applicant concerned.
- (7) A public company which on the date immediately preceding the date of commencement of the Deposit-taking Institutions Amendment Act, 1993 (hereinafter in this subsection referred to as the Amendment Act), is, in terms of the provisions of this Act as those provisions existed prior to the amendment thereof by the Amendment Act, registered as a controlling company in respect of a deposit-taking institution, shall, with effect from the date of the reregistration of the deposit-taking institution concerned as a bank in terms of section 33, be deemed to be a controlling company registered as such in terms of this section in respect of the bank as so reregistered.

[subsection (7) substituted by section 10 of [Act 9 of 1993](#)]

45. Cancellation by Registrar of registration of controlling company

- (1) If a controlling company has failed to establish control over the bank in respect of which it is registered, or no longer exercises such control, the Registrar may by notice in writing to such controlling company cancel its registration in respect of that bank.
- (2) No cancellation of any registration under subsection (1) shall be of force unless the Registrar has previously by notice in writing given the controlling company concerned an opportunity to show cause within a period specified in the notice, not being less than 30 days, why its registration should not be cancelled.

46. Cancellation by court of registration of controlling company

- (1) The Registrar may by way of application on notice of motion apply to a competent court for an order cancelling the registration of a controlling company if in the opinion of the Registrar there exist grounds, other than the grounds referred to in section 45, justifying such cancellation.
- (2) The provisions of subsections (2) and (3) of section 25 shall *mutatis mutandis* apply to an application under subsection (1).
- (3) In addition to any other grounds which the court may consider sufficient to justify the granting of an order under subsection (1) cancelling the registration of a controlling company, such an order may also be granted if the controlling company concerned—
 - (a) has furnished the Registrar in or in connection with its application for registration with information which is in a material respect untrue; or

(b) has contravened or failed to comply with a provision of or a requirement under this Act, or if, on any other ground advanced by the Registrar in the relevant application, the court is of the opinion that it is not in the public interest to allow the controlling company concerned to continue its activities as a controlling company.

47. Cancellation of registration at request of controlling company

The Registrar shall cancel the registration of a controlling company upon submission to him by the controlling company of a special resolution contemplated in section 200 of the Companies Act authorizing such cancellation.

48. Lapse of registration of controlling company upon cancellation of registration of bank

- (1) If the provisional or final registration of a bank in respect of which a controlling company is registered, is cancelled, the registration of that controlling company in respect of that bank shall be deemed to have been cancelled simultaneously.
- (2) The cancellation of the registration of a controlling company by virtue of the provisions of subsection (1) shall be with effect from the date on which the bank concerned in terms of section 31 ceased to be registered as such.

49. Date on which registration of controlling company lapses

A controlling company shall cease to be registered as such—

- (a) in the case of a registration cancelled by the Registrar under section 45, upon expiry of 30 days after the date of the notice referred to in subsection (1) of that section or, if an appeal against such cancellation was lodged with the board of appeal in terms of section 9 before the expiry of the said 30 days and the board of appeal has confirmed such cancellation, upon the date on which the controlling company concerned is notified of such confirmation;
- (b) in the case of a registration in respect of which the court has granted an order under section 46 cancelling the registration, upon the date on which that order comes into force; or
- (c) in the case of a registration cancelled by the Registrar in terms of section 47, upon such date as may be determined by the Registrar.

50. Investments by controlling companies

A controlling company investing money—

- (a) in undertakings other than banks, institutions which conduct business similar to the business of a bank in a country other than the Republic, controlling companies or companies of which the main object is the holding or development of property which is used or intended to be used mainly for the purpose of conducting the business of a bank; or
- (b) to fixed property which is not used or intended to be used mainly for the purpose of conducting the business of a bank,

shall manage its transactions in such investments in such a way that the amount of such investments does not at any time exceed 40 per cent of the sum of its share capital and reserve funds.

Chapter V

Functioning of banks and controlling companies with reference to Companies Act

51. Application of Companies Act to banks and controlling companies

- (1) A company registered as a bank or as a controlling company shall continue to be a company in terms of the Companies Act, and the provisions of that Act shall, subject to the provisions of subsection (2), continue to apply to any such company to the extent to which they are not inconsistent with any provision of this Act: Provided that—
 - (a) the provisions of the Companies Act governing the conversion of public companies into other forms of companies shall not apply to any such company; and
 - (b) in the application, by virtue of the provisions of this subsection, of the provisions of section 171 (1) of the Companies Act in respect of a company referred to in this subsection, the reference in the said section 171 (1)—
 - (i) to "director", shall be deemed to be a reference only to a director whose name appears in the relevant company's register of directors and officers contemplated in section 215 of the Companies Act; and
 - (ii) to "business letter", shall be deemed not to include a reference to any printed form of advice.
- (2) The Minister may with the concurrence of the Minister of Trade and Industry by notice in the *Gazette* declare that a provision of the Companies Act specified in such notice—
 - (a) shall not apply to any company registered as a bank or as a controlling company;
 - (b) shall only apply to any such company subject to such adjustments and qualifications as may be specified in the notice; or
 - (c) the administration of which vests in the Registrar of Companies, shall in respect of companies registered as banks or as controlling companies vest in the Registrar.

[subsection (2) amended by section 11 of [Act 9 of 1993](#)]

- (3) The Minister shall lay a copy of a notice under subsection (2) upon the Tables in Parliament within 14 days after the publication thereof, if Parliament is then in ordinary session, or if Parliament is not then in ordinary session, within 14 days after the commencement of its next ensuing ordinary session, and any such notice shall cease to be in force if every House of Parliament by resolution passed during the session in which such notice has been so laid upon the Tables, disapproves thereof: Provided that nothing contained in this subsection shall affect the power of the Minister to issue a new notice under subsection (2) as to the subject matter of the notice which has so ceased to be in force.

52. Subsidiaries, branch offices, other interests and representative offices of banks and controlling companies

- (1) A bank shall not without the prior written approval of the Registrar or otherwise than in accordance with conditions approved by the Registrar in writing—
 - (a) establish a subsidiary within or outside the Republic or enter into an agreement having the effect that any company becomes its subsidiary within or outside the Republic;
 - (b) open a branch office outside the Republic;
 - (c) acquire an interest in any undertaking conducting business outside the Republic;

- (d) outside the Republic—
 - (i) create a trust of which the bank is a major beneficiary; or
 - (ii) establish any financial or other business undertaking under its direct or indirect control; or
 - (e) establish a representative office outside the Republic.
- (2) To obtain the prior approval of the Registrar as contemplated in subsection (1), there shall be lodged with the Registrar a written application in which full particulars of the proposed action are furnished, including, in the case of a proposed establishment of a representative office outside the Republic as contemplated in paragraph (e) of the said subsection—
- (a) the country in which the representative office is to be established;
 - (b) the name of the proposed chief representative officer, in that country, of the bank; and
 - (c) the address of the proposed representative office in that country.
- (3) The Registrar may require an applicant contemplated in subsection (2) to furnish him with such information, in addition to particulars furnished by the applicant in terms of that subsection, as the Registrar may deem necessary.
- (4) After the establishment in terms of this section of a representative office outside the Republic, the bank concerned shall in writing notify the Registrar of—
- (a) any substitution of its chief representative officer in the country concerned;
 - (b) any change of the address of the representative office in question; or
 - (c) the closing down of the representative office,
- as soon as it occurs.
- (5) The provisions of subsection (1) (a), (c) and (d), and of subsections (2) and (3) in so far as they are relevant, shall *mutatis mutandis* apply in respect of any controlling company.

53. Disclosure by banks and controlling companies of interest in subsidiaries, trusts and other undertakings

A bank or a controlling company shall on such a form and at such intervals as may be prescribed furnish the Registrar with such particulars as may be prescribed relating to its shareholding or other interest in—

- (a) its subsidiaries contemplated in section 52 (1) (a);
- (b) an undertaking contemplated in section 52 (1) (c); or
- (c) any trust or financial or other business undertaking contemplated in section 52 (1) (d).

54. Compromises, amalgamations, arrangements and affected transactions

- (1) No compromise, amalgamation or arrangement referred to in Chapter XII of the Companies Act and which involves a bank as one of the principal parties to the relevant transaction, and no arrangement for the transfer of all or any part of the assets and liabilities of a bank to another person, shall have legal force unless the consent of the Minister, conveyed in writing through the Registrar, to the transaction in question has been obtained beforehand.
- (2) The Minister shall not grant his consent referred to in subsection (1) unless—
 - (a) he is satisfied that the transaction in question will not be detrimental to the public interest;
 - (b) in the case of an amalgamation referred to in subsection (1), the amalgamation is an amalgamation of banks only; or

- (c) in the case of a transfer of assets and liabilities referred to in subsection (1) which entails the transfer by the transferor bank of the whole or any part of its business as a bank, such transfer is effected to another bank or a person approved by the Registrar for the purpose of the said transfer.

[paragraph (c) substituted by section 1 of [Proclamation 132 of 1994](#) and by section 36(a) of [Act 26 of 1994](#)]

- (3) Upon the coming into effect of a transaction effecting the amalgamation of one bank with another bank as contemplated in subsection (2)(b), or a transaction effecting the transfer of assets and liabilities of one bank to another bank or person as contemplated in subsection (2)(c)—

- (a) all the assets and liabilities of the amalgamating banks or, in the case of such transfer of assets and liabilities, of the bank by which the transfer is effected, shall vest in and become binding upon the amalgamated bank or, as the case may be the bank or person taking over such assets and liabilities;
- (b) the amalgamated bank or, in the case of such transfer of assets and liabilities, the bank or person taking over such assets and liabilities, shall have the same rights and be subject to the same obligations as those which immediately before the amalgamation or transfer the amalgamating banks or, as the case may be, the bank by which the transfer has been effected may have had or to which they or it may then have been subject to;
- (c) all agreements, appointments, transactions and documents entered into, made, drawn up or executed with, by or in favour of any of the amalgamating banks or, as the case may be, the bank by which the transfer has been effected, and in force immediately prior to the amalgamation or transfer, shall remain of full force and effect and shall be construed for all purposes as if they had been entered into, made, drawn up or executed with, by or in favour of the amalgamated bank or, as the case may be, the bank or person taking over the assets and liabilities in question; and
- (d) any bond, pledge, guarantee or instrument to secure future advances, facilities or services by any of the amalgamating banks or, as the case may be, by the bank transferring such assets and liabilities, which was in force immediately prior to the amalgamation or transfer, shall remain of full force and effect and shall be construed as a bond, pledge, guarantee or instrument given to or in favour of the amalgamated bank or, as the case may be, the bank or person taking over such assets and liabilities, as security for future advances, facilities or services by that bank or person.

[subsection (3) amended by section 25(b) of [Act 9 of 1993](#) and substituted by section 36(b) of [Act 26 of 1994](#)]

- (4) Any compromise, amalgamation or arrangement, or any arrangement for the transfer of assets and liabilities, referred to in subsection (1), excluding a transfer other than a transfer referred to in subsection (2)(c), shall be subject—

- (a) to confirmation at a general meeting of shareholders of each of the banks concerned; or
- (b) in the case of a transaction effecting the transfer of assets and liabilities of one bank to another bank or a person as contemplated in subsection (2)(c), to confirmation at a general meeting of shareholders of the bank by which the transfer is effected and the bank or person taking over such assets and liabilities,

and the notice convening such a meeting shall contain or have attached to it the terms and conditions of the relevant agreement or arrangement.

[subsection (4) substituted by section 36(b) of [Act 26 of 1994](#)]

- (5) Notice of the passing of the resolution confirming, as contemplated in subsection (4), any compromise, amalgamation or arrangement, or any arrangement for the transfer of assets and liabilities, together with a copy of such resolution and the terms and conditions of the relevant

agreement or arrangement, duly certified by the chairman of the meeting at which such resolution was passed and by the secretary of the bank or person concerned, shall be sent to the Registrar by each of the banks involved or, in the case of a transaction effecting the transfer of assets and liabilities of one bank to another bank or a person as contemplated in subsection (2)(c), the bank by which the transfer is effected and the bank or person taking over such assets and liabilities, and the Registrar shall, after having received such notices from all the parties to the relevant agreement or arrangement, register such notices.

[subsection (5) substituted by section 36(b) of [Act 26 of 1994](#)]

- (6) Upon the registration by the Registrar of the notices referred to in subsection (5)—
- (a) of any amalgamation of two or more banks, the registration of the individual banks which were parties to the amalgamation shall be deemed to be cancelled and the Registrar shall withdraw those registrations and, on payment by the bank created by the amalgamation of the prescribed registration fee, register such bank, subject *mutatis mutandis* to the provisions of section 18, as a bank; or

[paragraph (a) amended by section 25(b) of [Act 9 of 1993](#) and substituted by section 36(c) of [Act 26 of 1994](#)]

- (b) of any arrangement for the transfer of all the assets and liabilities of a bank, the registration of such bank shall be deemed to be cancelled and shall be withdrawn by the Registrar.
- (7) Upon registration of a bank by the Registrar in terms of subsection (6), he shall issue a certificate of registration to the bank concerned.

[subsection (7) amended by section 25(b) of [Act 9 of 1993](#) and by section 36(d) of [Act 26 of 1994](#)]

- (8) The Registrar of Companies, every Master of the Supreme Court and every officer-in charge of a deeds registry or any other office in which—
- (a) is registered any title to property belonging to, or any bond or other right in favour of, or any appointment of or by; or
 - (b) has been issued any licence to or in favour of,

any bank which has amalgamated with any other bank, any bank which has transferred all its assets and liabilities to any other bank or person or any bank which has transferred part of its assets and liabilities to a wholly owned subsidiary of the transferor bank's controlling company, shall, if he is satisfied—

- (i) that the Minister has in terms of subsection (1) consented to the amalgamation or transfer; and
- (ii) that such amalgamation or transfer has been duly effected,

and upon the production to him of any relevant deed, bond, certificate, letter of appointment, licence or other document, make such endorsements thereon and effect such alterations in his registers as may be necessary to record the transfer thereof and of any rights thereunder to the amalgamated bank or, as the case may be, to the bank or person or the said wholly owned subsidiary which has so taken over the said assets and liabilities.

[subsection (8) amended by section 12(a) of [Act 9 of 1993](#) and substituted by section 36(e) of [Act 26 of 1994](#)]

- (9) The provisions of this section shall not affect the rights of any creditor of a bank which has amalgamated with or transferred all its assets and liabilities to any other bank or person or taken over all the assets and liabilities of any other bank, except to the extent provided in this section.

[subsection (9) substituted by section 12(b) of [Act 9 of 1993](#) and by section 36(e) of [Act 26 of 1994](#)]

- (10) The conditions and any tax benefit which immediately prior to the date of a transfer, referred to in this section, of assets and liabilities were applicable in respect of an investment, referred to in

section [10\(1\)\(i\)](#)(xii), (xiiA) or (xiii), [10\(1\)\(w\)](#), or [19](#) (5A) of the Income Tax Act, 1962 ([Act No. 58 of 1962](#)), with the transferor bank shall, notwithstanding such a transfer of assets and liabilities but subject to the provisions of the said Act, remain applicable to the investment until the expiration of a period of ten years as from the date on which it was initially made or until it is redeemed, whichever occurs first.

[subsection [\(10\)](#) substituted by section 12(c) of [Act 9 of 1993](#)]

(11) Notwithstanding anything to the contrary contained in—

- (a) Chapter XVA of the Companies Act;
- (b) the Securities Regulation Code on Take-overs and Mergers published by Government Notice No. R.29 dated 18 January 1991, and any amendment thereof; or
- (c) the Rules under section 440C(4)(a), (b), (c) and (f) of the Companies Act, published by the said Government Notice No. R.29, and any amendment thereof,

neither the Securities Regulation Panel established by section 440B of the Companies Act nor its executive committee or its executive director shall furnish any clearance, decision or ruling in respect of a matter submitted to it or him in terms of the provisions of the above-mentioned Code or Rules, and which matter relates to an affected transaction, as defined in section 440A(1) of the Companies Act, involving—

- (i) *[paragraph [\(i\)](#) deleted by section 36(f) of [Act 26 of 1994](#)]*
- (ii) an acquisition of shares in a bank or controlling company for which permission under section [37\(2\)\(a\)\(i\)](#), [\(ii\)](#), [\(iii\)](#) or [\(iv\)](#) is a prerequisite,

unless the person submitting the matter in question has furnished the said Panel, executive committee or executive director with written proof that such exemption or permission, as the case may be, has in fact been obtained.

[section [54](#) substituted by section 6 of [Act 42 of 1992](#)]

55. Reconstruction within group of companies

No reconstruction of companies within a group—

- (a) in respect of which annual financial statements are required to be made out in terms of section 283 (1) of the Companies Act; and
- (b) of which a bank or a controlling company or subsidiary of a bank is a member,

shall be effected without the prior written approval of the Registrar.

56. Alteration of memorandum or association or articles of association, and change of name

(1) No—

- (a) alteration, in terms of section 55, 56 or 62 of the Companies Act, of the memorandum of association or articles of association of a company registered as a bank; or
- (b) change, in terms of section 44 of the Companies Act, of the name of any such company,

shall have legal force for the purposes of this Act or any other law unless such alteration or change has been approved in writing by the Registrar prior to the registration thereof by the Registrar of Companies.

- (2) Any application for the Registrar's approval in terms of subsection (1) shall be lodged with the Registrar before the proposed special resolution authorizing the alteration or change in question is laid before a general meeting of the company, and such application shall be accompanied by—
 - (a) two copies of the proposed special resolution; and
 - (b) an explanation of the reasons for the resolution.
- (3) The Registrar shall not grant any application referred to in subsection (2) if he is of the opinion—
 - (a) that the proposed alteration is inconsistent with any provision of this Act or is undesirable in so far as it concerns the activities of banks; or
 - (b) that the proposed new name is unacceptable on any of the grounds mentioned in subparagraphs (i), (ii), (iii) and (iv) of section 17 (2) (e).
- (4) A bank shall within 21 days of the registration by the Registrar of Companies of an alteration of its memorandum of association or articles of association or a change of its name, furnish the Registrar with a certified copy of the special resolution which sets out the alteration or change of name, as the case may be.
- (5) Upon receipt, by virtue of the provisions of subsection (4), of a copy of a special resolution, and payment by the bank concerned of the prescribed fee, the Registrar shall—
 - (a) in the case of a special resolution relating to an alteration of a memorandum of association or articles of association, register the alteration in question and issue to the bank concerned a certificate to the effect that the said alteration has been registered by the Registrar with effect from a date specified in the certificate; or
 - (b) in the case of a special resolution relating to a change of name, change the name of the bank concerned in his register of banks, and issue to the bank concerned a certificate of such change of name.

[paragraph (b) amended by section 25(b) of [Act 9 of 1993](#)]
- (6) An alteration referred to in subsection (5) (a) shall not take effect until it has been registered in terms of that subsection.
- (7) The provisions of subsections (1), (2) and (3) shall not apply with respect to any alteration of a bank's memorandum of association or articles of association to accordance with a direction by the Registrar under this Act.
- (8) The provisions of subsection (1) (a), and of subsections (2), (3), (4), (5) and (6) bi so far as they are relevant, shall *mutatis mutandis* apply in respect of any controlling company.

57. Alteration of memorandum of association or articles of association in accordance with direction of Registrar

- (1) The Registrar may at any time in writing direct a bank to effect such alteration, not contrary to a provision of this Act, to its memorandum of association or articles of association as the Registrar may deem desirable in order to remove anomalies or undesirable divergences in the activities of different banks.
- (2) An alteration directed by the Registrar under subsection (1) shall on or before the day of the first annual general meeting, referred to in section 175 of the Companies Act, following upon the date of such direction, be submitted for consideration to the shareholders of the bank concerned.
- (3) If a bank refuses or fails to alter its memorandum of association or articles of association in accordance with a direction of the Registrar under subsection (1), the Registrar may submit a copy of that direction to the Registrar of Companies, who shall thereupon deal with the proposed alteration contained therein in accordance with the Companies Act as if it were contained in a

special resolution adopted by the bank concerned and submitted to him by that bank in accordance with that Act.

[subsection (3) amended by section 25(b) of [Act 9 of 1993](#)]

58. Information regarding directors and officers

A bank shall within 30 days of its provisional registration as such, and a controlling company shall within 30 days of its registration as such, furnish the Registrar with a copy of its register of directors and officers referred to in section 215 of the Companies Act.

59. Returns regarding shareholders

- (1) A bank shall within 90 days of its provisional registration as such, and a controlling company shall within 90 days of its registration as such, and annually thereafter within 30 days of the thirty-first day of December of each year, furnish the Registrar with a return regarding its shareholders as at the date of the said registration or as on the said thirty-first day of December, as the case may be.
- (2) A return referred to in subsection (1) shall comprise separate lists of domestic and foreign shareholders, each of which shall be compiled in alphabetical order according to the names of the shareholders and stating opposite each name—
 - (a) the address of the shareholder;
 - (b) the number and class of shares registered in his name;
 - (c) the total nominal value of those shares;
 - (d) the percentage which the total nominal value of those shares represents of the total nominal value of all the issued shares of the bank or controlling company; and
 - (e) if the shareholder is a bank, controlling company or, in the case of a foreign shareholder, an institution conducting business similar to the business of a bank, the fact that it is such a bank, controlling company or institution, as the case may be:

Provided—

- (i) that two or more domestic shareholders who are associates shall in alphabetical order according to their names be included in the list as a group under the name of one of the associates, stating, in addition to the particulars referred to in paragraphs (a) to (f), inclusive—
 - (aa) the fact that they are associates;
 - (bb) the total nominal value of all the shares registered in their respective names; and
 - (cc) the percentage which the total nominal value of those shares represents of the total nominal value of all the issued shares of the bank or controlling company; and
- (ii) that the name of a shareholder and the particulars referred to in paragraphs (a) to (e), inclusive, shall, subject to subsection (3), not be included in such a list if the total nominal value of the shares registered in his name—
 - (aa) in the case of a domestic shareholder, is less than one per cent of the total nominal value of all the issued shares of the bank or controlling company; or
 - (bb) the case of a foreign shareholder, is less than the lower of R100 000 or one per cent of the total nominal value of all such issued shares.

- (3) A return referred to in subsection (1) shall further specify—
- (a) the number of domestic and the number of foreign shareholders whose names and individual particulars are by virtue of paragraph (ii) of the proviso to subsection (2) not included in the lists, and opposite the respective numbers—
 - (i) the number of shares registered in the name of the relevant share holders;
 - (ii) the total nominal value of such shares; and
 - (iii) the percentage which the total nominal value of such shares represents of the total nominal value of all the issued shares of the bank or controlling company; and
 - (b) the total nominal value of shares registered in the name of all domestic and all foreign shareholders, respectively.
- (4) If the total nominal value of the shares in a bank or controlling company registered in the name of a shareholder is less than the lower of R100 000 or one per cent of the total nominal value of all the issued shares of the bank or controlling company concerned, such bank or controlling company may, for the purposes of this section, summarily accept, unless it has knowledge to the contrary, that the shareholder concerned—
- (a) is a domestic shareholder, if the address entered in respect of such shareholder in the register of members referred to in section 105 of the Companies Act is an address in the Republic; and
 - (b) is not an associate of any other shareholder of the bank or controlling company.
- [subsection (4) substituted by section 13 of [Act 9 of 1993](#)]*
- (5) For the purposes of this section "associate" means an associate as defined in section 36 (10).

60. Directors of bank or controlling company

- (1) Each director of a bank or controlling company shall stand in a fiduciary relationship to the bank or controlling company, as the case may be, of which he is a director.
- (2) Without derogating from the generality of the expression 'fiduciary relationship' in subsection (1), the provisions of that subsection imply that a director—
- (a) shall, in relation to the bank or controlling company of which he is a director, act honestly and in good faith and, in particular, shall exercise such powers as he may have to manage or represent the bank or controlling company, exclusively in the best interests and for the benefit of the bank and its depositors or of the controlling company, as the case may be; and
 - (b) shall, in the performance of his functions as director of such bank or controlling company, observe such guide-lines and comply with such requirements as may be prescribed under section 90(1)(b).
- (3) Notwithstanding anything to the contrary in any law or the common law or in any agreement contained, not more than 49 per cent, rounded off to the next lower integral number, of the directors of—
- (a) a bank shall be employees of that bank or of any of its subsidiaries, or of such bank's controlling company, or of any of such controlling company's subsidiaries;

[paragraph (a) amended by section 25(b) of [Act 9 of 1993](#) and substituted by section 39(a) of [Act 26 of 1994](#)]

- (b) a controlling company shall be employees of that company or of any bank in respect of which that company is registered as a controlling company:

Provided that in respect of any matter put to the vote at a meeting of the board of directors of a bank or of a controlling company, as the case may be, such directors who are employees of that bank or that controlling company, as the case may be, shall together not have a vote in excess of 49 per cent of the total vote cast by all the directors present and voting at that meeting.

- (4) No person who on the date of commencement of this Act is a director of a bank or controlling company shall on the expiration of his term of office be eligible for reappointment as such a director unless or until he qualifies for such appointment in terms of the provisions of subsection (3).
- (5)
 - (a) Every bank and every controlling company shall, at least 30 days prior to the appointment of a new director (whether for the purpose of the filling of a casual vacancy or in any other circumstances) to its board of directors becoming effective, in writing furnish the Registrar with the prescribed information in respect of the proposed new director.
 - (b) No appointment of a new director to the board of directors of any bank or controlling company, as contemplated in paragraph (a), shall have legal force for the purpose of this Act or any other law unless the prescribed information in respect of such director has been furnished to the Registrar in accordance with the provisions of paragraph (a).

[subsection (5) substituted by section 39(b) of [Act 26 of 1994](#)]

- (6) The provisions of subsection (5) shall not be construed as rendering the appointment of a director referred to in that subsection subject to the approval of the Registrar.

[section 60 substituted by section 1 of [Act 81 of 1991](#)]

61. Appointment of auditor

- (1) Notwithstanding the provisions of Chapter X of the Companies Act—
 - (a) no person shall hold office as auditor of a bank unless his appointment as such an auditor has been approved by the Registrar; and
 - (b) a bank of which the total assets as at the close of its last preceding financial year exceeded R10 000 000 000 shall appoint not less than two auditors who are independent of each other.
 - (2) A bank institution shall within 30 days of the appointment in accordance with the provisions of Chapter X of the Companies Act of a person as auditor thereof, apply to the Registrar on the prescribed form for his approval of such appointment.
- [subsection (2) substituted by section 14 of [Act 9 of 1993](#)]*
- (3) The Registrar may, without being required to furnish any reasons therefor—
 - (a) refuse an application under subsection (2) for his approval of the appointment of an auditor; or
 - (b) withdraw any approval of the appointment of an auditor previously granted by the Registrar under this section, and thereupon the auditor concerned shall vacate his office.
 - (4) If the Registrar under paragraph (a) of subsection (3) refuses an application for his approval of the appointment of an auditor or under paragraph (b) of that subsection withdraws an approval previously granted by him, the board of directors of the bank concerned shall appoint another person as auditor and the provisions of subsections (1) and (2) shall apply *mutatis mutandis* in respect of the last-mentioned appointment.

- (5) A person appointed under subsection (4) as auditor of a bank shall for the purposes of Chapter X of the Companies Act be deemed to have been so appointed as auditor at the immediately preceding annual general meeting of the bank.

62. Appointment of auditor by Registrar

- (1) If a bank for any reason fails to appoint an auditor the Registrar may, notwithstanding the provisions of sections 269 (4) and 271 (1) of the Companies Act, make the necessary appointment.
- (2) A person appointed under subsection (1) as auditor of a bank shall be deemed to have been so appointed by that bank.

[subsection (2) amended by section 25(b) of [Act 9 of 1993](#)]

63. Functions of auditor in relation to Registrar

- (1) Notwithstanding anything to the contrary contained in the Public Accountants' and Auditors' Act, 1991 ([Act No. 80 of 1991](#)), or the Companies Act, but subject to the provisions or subsections (2) and (3) of this section, the auditor referred to in section 61 or 62—

- (a) shall, whenever he furnishes, in terms of section 20(5)(b) of the first-mentioned Act, the Public Accountants' and Auditors' Board with copies of the report, acknowledgement of receipt and reply and with the other particulars referred to in that section, relating to an irregularity or suspected irregularity in the conduct of the affairs of the bank for which he has been appointed as auditor, also furnish the Registrar with such copies and particulars; and

[paragraph (a) substituted by section 40(a) of [Act 26 of 1994](#)]

- (b) shall in writing inform the Registrar of any matter relating to the affairs of a deposit-taking institution—

- (i) of which such auditor became aware in the performance of his functions as auditor of that bank; and

[subparagraph (i) amended by section 25(b) of [Act 9 of 1993](#)]

- (ii) which, in the opinion of such auditor, may endanger the bank's ability to continue as a going concern or may impair the protection of the funds of the bank's depositors or may be contrary to principles of sound management (including risk management) or amounts to inadequate maintenance of internal controls; and

[subparagraph (ii) substituted by section 40(b) of [Act 26 of 1994](#)]

[paragraph (b) amended by section 7(a) of [Act 42 of 1992](#)]

- (c) shall, if requested by the Registrar to do so, furnish him with written information relating to a matter referred to in paragraph (b), specified by the Registrar.

[subsection (1) amended by section 15 of [Act 9 of 1993](#)]

- (2) Whenever an auditor by virtue of the provisions of subsection (1) (b) or (c) furnishes the Registrar with written information, he may at the same time furnish the chief executive officer of the bank to which such information relates with a copy of the relevant document.
- (3) The furnishing in good faith by an auditor of information in terms of subsection (1)(b) or (c) shall in no circumstances be held to constitute a contravention of any provision of the law or a breach of any provision of a code of professional conduct to which such auditor may be subject.

[subsection (3) substituted by section 7(b) of [Act 42 of 1992](#)]

- (4) Nothing in subsection (1) contained shall be construed as conferring upon any person any right of action against an auditor which, but for the provisions of that subsection, he would not have had.

[subsection (4) added by section 7(c) of [Act 42 of 1992](#)]

64. Audit committee

- (1) Subject to the provisions of subsections (3) and (4), the board of directors of a bank shall appoint at least three of its members to form an audit committee.
- (2) The functions of the audit committee shall be to—
- (a) assist the board of directors in its evaluation of the adequacy and efficiency of the internal control systems, accounting practices, information systems and auditing processes applied within that bank in the day-to-day management of its business;
 - (b) facilitate and promote communication, regarding the matters referred to in paragraph (a) or any other related matter, between the board of directors and the executive officers of, the auditor appointed under section 61 or 62 for, and the employee charged with the internal auditing of the transactions of, the bank; and
 - (c) introduce such measures as in the committee's opinion may serve to enhance the credibility and objectivity of financial statements and reports prepared with reference to the affairs of the bank.
- (3) All of the members of the audit committee may be, and the majority of such members shall be, persons who are not employees of the bank nor of any of its subsidiaries, its controlling company or any subsidiary of its controlling company.

[subsection (3) substituted by section 41 of [Act 26 of 1994](#)]

- (4) The board of directors of a bank shall be exempt from the duty to appoint an audit committee if such bank is a member of a group of companies in respect of which group annual financial statements are required to be made out in terms of section 288 (1) of the Companies Act, provided an audit committee has been appointed for the holding company in that group and such audit committee has assumed the responsibilities of an audit committee in respect of all the banks in that group.

[subsection (4) amended by section 25(b) of [Act 9 of 1993](#)]

65. Forwarding of certain notices, reports, returns and financial statements to Registrar

- (1) Whenever a bank or controlling company—
- (a) forwards a notice of a meeting or of the declaration of a dividend or a report on its activities during a financial year or part of such year to its shareholders;
 - (b) gives notice to the Registrar of Companies in terms of section 170(2) of the Companies Act of any intended change in the situation of its registered office or of its postal address;
 - (c) forwards in terms of section 216 (2) of the Companies Act a return referred to in that section regarding its directors to the Registrar of Companies; or
 - (d) forwards in terms of section 302 (4) of the Companies Act financial statements to the Registrar of Companies,
- it shall simultaneously forward a copy of such notice, report, return or statements to the Registrar.
- (2) A bank or controlling company shall within 30 days after a general meeting of shareholders forward to the Registrar a copy of the minutes to be kept in respect of such meeting in terms of section 204 of the Companies Act.

66. Disclosure of issued share capital

If a bank publishes any statement or issues any document in which the amount of its authorized share capital is mentioned, the amount of its issued share capital shall also be mentioned in such statement or document.

67. Disclosure of names of certain shareholders

If, in the case of an individual shareholder in a bank who holds more than 25 per cent of all the issued shares in that bank to which voting rights are attached, the sum of the amounts of such bank's investments with or loans or advances or other exposures to such individual shareholder exceeds the total nominal value of the said shares so held by that individual shareholder, the bank shall in its financial statements mention the name of such individual shareholder.

[section 67 amended by section 25(b) of [Act 9 of 1993](#)]

68. Special provisions relating to winding-up or judicial management of bank

(1) Notwithstanding anything in the contrary contained in the Companies Act—

- (a) the Registrar shall have the right to apply to a competent court for the winding-up of any bank or for an order placing any bank under judicial management in terms of the said Act, and the Registrar shall have the right to oppose any such application made by any other person;

[paragraph (a) substituted by section 16 of [Act 9 of 1993](#) and amended by section 42(a) of [Act 26 of 1994](#)]

- (b) no person other than a person recommended by the Registrar shall be appointed by a Master of the Supreme Court as provisional liquidator, provisional judicial manager, liquidator or judicial manager of a bank; and

[paragraph (b) amended by section 25(b) of [Act 9 of 1993](#) and by section 42(b) of [Act 26 of 1994](#)]

- (c) the Master shall appoint a person designated by the Registrar, who shall be a person who in the opinion of the Registrar has wide experience of, and is knowledgeable about the latest developments in, the banking industry, to assist a provisional liquidator, provisional judicial manager, liquidator or judicial manager referred to in paragraph (b) in the performance of his functions in respect of the bank in question.

[paragraph (c) added by section 42(c) of [Act 26 of 1994](#)]

(1A) The appointment by the Master of a person in terms of subsection (1)(c) shall be by means of a letter of appointment addressed by the Master to the person appointed and in which is set out—

- (a) the name of the bank in respect of which such person is appointed;
- (b) directions in regard to the remuneration of the person appointed; and
- (c) such other directions incidental to the matter as the Master or the Registrar may deem necessary,

and a copy of such letter of appointment shall be furnished by the Master to the provisional liquidator, provisional judicial manager, liquidator or judicial manager concerned.

[subsection (1A) inserted by section 42(d) of [Act 26 of 1994](#)]

- (2) During the voluntary winding-up of any bank the liquidator shall furnish the Registrar with such return or statement which the bank concerned would have been obliged to furnish to the Registrar in terms of this Act, were such bank not being wound up, as the Registrar may require.

[subsection (2) amended by section 25(b) of [Act 9 of 1993](#) and substituted by section 42(e) of [Act 26 of 1994](#)]

- (3) In the application, in relation to the winding-up of a company which is a deposit-taking institution —

- (a) of section 346 of the Companies Act subsection (4) of that section shall be deemed to have been amended to read as follows:

- "(4) (a) Before an application for the winding-up of a company which is a deposit-taking institution is presented to the Court, a copy of the application and of every affidavit confirming the facts stated therein shall be lodged with the Registrar of Deposit-taking Institutions and with the Master, or if there is no Master at the seat of the Court, with an officer in the public service designated for that purpose by the Master by notice in the *Gazette*.
- (b) The Registrar of Deposit-taking Institutions or the Master or any such officer may report to the court any facts ascertained by him which appear to him to justify the Court in postponing the hearing or dismissing the application, and shall transmit a copy of that report to the applicant or his agent and to the said company."; and

- (b) of section 357 of the Companies Act, subsection (3) of that section shall be deemed to have been amended to read as follows:

- "(3) A copy of every special resolution for the voluntary winding-up of any company which is a deposit-taking institution, passed under section 349, and of every order of court amending or setting aside the proceedings in relation to the winding-up shall, within fourteen days after the registration of the resolution in terms of section 200 or the making of the order, be transmitted by that company to the officers and registrars referred to in paragraphs (a), (b) and (c) of subsection (1), as well as to the Registrar of Deposit-taking Institutions."

- (4) In the application of section 427 of the Companies Act in relation to the judicial management of a company which is a deposit-taking institution, the reference in subsection (2) of that section to section 346(4)(a) of the said Act shall be deemed to be a reference to the said section 346(4)(a) as deemed to have been amended in terms of subsection (3)(a) of this section.
- (5) Notwithstanding anything to the contrary contained in any law, the suspension, cancellation or termination of the registration of a bank while such bank, as a result of an application brought by the Registrar, is being wound up or under judicial management in terms of this section, shall not affect—
- (a) any order or appointment made, direction issued or any other thing done under this section or in terms of the Companies Act, in respect of such bank; or
- (b) any power to be exercised, duty to be executed or right to be enforced in respect of such bank by the Registrar, the Master of the Supreme Court or the provisional liquidator, provisional

judicial manager, liquidator or judicial manager, respectively, by virtue of the provisions of this section or the provisions of the Companies Act,

and the Registrar, the Master of the Supreme Court, the provisional liquidator, provisional judicial manager, liquidator or judicial manager, respectively, shall—

- (i) in the case of such winding-up, until the affairs of the public company of which the registration as a bank has been so suspended, cancelled or terminated have been completely wound up as contemplated in section 419(1) of the Companies Act or until the winding-up is stayed or set aside by an order of a competent court; or
- (ii) in the case of such judicial management, until the judicial management order is cancelled by a competent court,

continue to exercise their respective powers and to perform their respective duties under this section or in terms of the Companies Act, in respect of the public company of which the registration as a bank has been so suspended, cancelled or terminated, as if such suspension, cancellation or termination had not taken place.

[subsection (5) added by section 42(f) of [Act 26 of 1994](#)]

69. Appointment of curator to bank

- (1) (a) If any bank is in the opinion of the Registrar in financial difficulties, the Minister may, if he deems it desirable in the public interest, with the written consent of the chief executive officer or the chairman of the board of directors of that bank, appoint a curator to the bank, and thereupon the provisions of paragraphs (b) to (g), inclusive, and (i) to (l), inclusive, of section 433, and sections 434(2), 436, 437 and 440, of the Companies Act shall apply *mutatis mutandis*, in so far as such provisions are not inconsistent with the provisions of this section, in relation to the bank and to the curator: Provided that for the purposes of this section the powers conferred and the duties imposed by the first-mentioned provisions upon the court, the Master and the judicial manager, respectively; shall devolve upon the Minister, the Registrar and the curator, respectively.

[paragraph (a), previously subsection (1), renumbered by section 8(a) of [Act 42 of 1992](#), amended by section 25(b) of [Act 9 of 1993](#) and substituted by section 43(a) of [Act 26 of 1994](#)]

- (b) The Registrar may appoint a person, other than a person who is in the employ of the bank under curatorship, who in the opinion of the Registrar has wide experience of and is knowledgeable about the specific field of activities in which the bank under curatorship is predominantly engaged, to assist the curator in the management of the affairs of the bank under curatorship.

[paragraph (b) added by section 8(a) of [Act 42 of 1992](#) and substituted by section 43(b) of [Act 26 of 1994](#)]

- (c) The person appointed in terms of paragraph (b) shall in respect of the services rendered by him pursuant to his appointment be paid such remuneration out of the funds of the bank under curatorship as the Registrar may after consultation with the curator determine.

[paragraph (c) added by section 8(a) of [Act 42 of 1992](#)]

- (2) The Minister shall appoint a curator by letter of appointment which shall set out—
 - (a) the name of the bank in respect of which the curator is appointed and the address of its head office;
 - (b) directions in regard to the security which the curator has to furnish for the proper performance of his duties;
 - (c) directions in regard to the remuneration of the curator; and

- (d) such other directions as to the management of the bank concerned or any matter incidental thereto, including directions in regard to the raising of money by that bank, as the Minister may deem necessary.

[paragraph (d) amended by section 25(b) of [Act 9 of 1993](#)]

- (3) The Minister may, in the letter of appointment or at any time subsequent thereto, empower the curator in his discretion, but subject to any condition which the Minister may impose—

- (a) to suspend or reduce, as from the date of his appointment as curator or any subsequent date, the right of creditors of the bank concerned to claim or receive interest on any money owing to them by that bank;
- (b) to make payments, whether in respect of capital or interest, to any creditor or creditors of the bank concerned at such time, in such order and in such manner as he may deem fit;

[paragraph (b) amended by section 8(b) of [Act 42 of 1992](#)]

- (c) to cancel any agreement between the bank concerned and any other party to advance moneys due after the date of his appointment as curator, or to cancel any agreement to extend any existing facility, if, in the opinion of the curator, such advance or any loan under such facility would not be adequately secured or would not be repayable on terms satisfactory to the curator or if the bank lacks the necessary funds to meet its obligations under any such agreement or if it would not otherwise be in the interests of the bank;
- (d) to convene from time to time, in such manner as he may deem fit, a meeting of creditors of the bank concerned for the purpose of establishing the nature and extent of the bank's indebtedness to such creditors and for consultation with such creditors in so far as their interests may be affected by decisions taken by the curator in the course of the management of the affairs of the bank concerned;

[paragraph (d) added by section 8(c) of [Act 42 of 1992](#)]

- (e) to negotiate with any individual creditor of the bank concerned with a view to the final settlement of the affairs of such creditor with the bank;

[paragraph (e) added by section 8(c) of [Act 42 of 1992](#)]

- (f) to make and carry out, in the course of his management of the bank concerned, any decision which in terms of the provisions of the Companies Act would have been required to be made by way of a special resolution contemplated in section 199 of the said Act;

[paragraph (f) added by section 8(c) of [Act 42 of 1992](#)]

- (g) to cancel any lease of movable or immovable property entered into by the bank concerned prior to its being placed under curatorship: Provided that, notwithstanding the provisions of subsection (6), a claim for damages in respect of such cancellation may be instituted against the bank after the expiration of a period of one year as from the date of such cancellation;

[paragraph (g) added by section 8(c) of [Act 42 of 1992](#)]

- (h) to dispose, by public auction, tender or individual negotiation, of any asset of the bank concerned, including—

- (i) any advance or any loan under a facility contemplated in paragraph (c); and
- (ii) any asset for the disposal of which an approval contemplated in section 228 of the Companies Act would have been a prerequisite; or

[paragraph (h) added by section 8(c) of [Act 42 of 1992](#)]

- (i) to cancel any guarantee issued by the bank concerned prior to its being placed under curatorship, excluding such guarantee which the bank is required to make good within a period of 30 days as from the date of the appointment of the curator: Provided that,

notwithstanding the provisions of subsection (6), a claim for damages in respect of any loss sustained by or damage caused to any person as a result of the cancellation of a guarantee in terms of this paragraph, may be instituted against the bank after the expiration of a period of one year as from the date of such cancellation.

[paragraph (i) added by section 8(c) of [Act 42 of 1992](#)]

[subsection (3) amended by section 25(b) of [Act 9 of 1993](#)]

- (3A) The curator shall duly record the nature of and the reasons for each act performed by him under any power conferred upon him in terms of subsection (3), and such records shall be examined as part of the normal audit performed in respect of the affairs of the bank concerned.

[subsection (3A) inserted by section 8(d) of [Act 42 of 1992](#) and amended by section 25(b) of [Act 9 of 1993](#)]

- (4) The Minister may, at any time and in any manner, amend or withdraw the directions in the letter of appointment, and the powers granted by him under subsection (3) to the curator.

- (5) On the appointment of a curator—

- (a) the management of the bank concerned shall vest in the curator, subject to the supervision of the Registrar, and any other person, vested with the management of the affairs of that bank shall be divested thereof; and
- (b) the curator shall recover and take possession of all the assets of the bank.

[subsection (5) amended by section 25(b) of [Act 9 of 1993](#)]

- (6) While such bank is under curatorship—

- (a) all actions, legal proceedings, the execution of all writs, summonses and other legal process against that bank shall be stayed and not be instituted or proceeded with without the leave of the court; and
- (b) the operation of set-off in respect of any amount owing by a creditor to the bank shall be suspended.

[subsection (6) amended by section 25(b) of [Act 9 of 1993](#)]

- (6A) While a bank is under curatorship the curator shall, on the expiration of a period of one year as from the date of his appointment as such, and thereafter biannually upon the expiration of every period of six months, furnish the Registrar with a written report in which it is stated whether or not, in the opinion of the curator, it is in the interest of the depositors of the bank concerned that the bank remains under curatorship.

[subsection (6A) inserted by section 17 of [Act 9 of 1993](#)]

- (7) The Registrar shall as soon as is practicable announce the appointment of a curator and the powers granted to him on his appointment, and any amendment or withdrawal of such powers, by notice in the *Gazette*.

- (8) Notwithstanding anything to the contrary contained in any law, the suspension, cancellation or termination of the registration of a bank while such bank is under curatorship in terms of this section shall not affect—

- (a) any appointment made, direction issued, or any other thing done under this section in respect of such bank; or
- (b) any power to be exercised or duty to be executed in respect of that bank under curatorship by the Minister, the Registrar or the curator, by virtue of the provisions of this section,

and the Minister, the Registrar and the curator, respectively, shall until such time as the curatorship is terminated continue to exercise their respective powers and to execute their respective duties under this section in respect of the public company of which the registration as a bank has been

so suspended, cancelled or terminated, as if such suspension, cancellation or termination had not taken place.

[subsection (8) added by section 43(c) of [Act 26 of 1994](#)]

69A. Investigation of affairs of bank under curatorship

- (1) While a bank is under curatorship, the Registrar may appoint a person to be a commissioner for the purpose of investigating the business, trade, dealings, affairs or assets and liabilities of that bank or of its associate or associates.
- (2) The Registrar may appoint a person as an assistant or two or more persons as assistants to the commissioner referred to in subsection (1) in order to assist the commissioner, subject to his control and directions, in an investigation contemplated in subsection (1).
- (3) Before the Registrar appoints a commissioner in terms of subsection (1) or a person or persons in terms of subsection (2), he shall take all reasonable steps to ensure that the person or persons he appoints will be able to report objectively and impartially on the affairs of the bank concerned or the associate or associates of such bank.
- (4) A commissioner appointed under subsection (1) and any person or persons appointed under subsection (2) shall for the purpose of their functions in terms of this section have powers and duties in all respects corresponding to the powers and duties conferred or imposed by section 4(1), (2), (3), (4) and (6) of the Inspection of Financial Institutions Act, 1984 ([Act No. 38 of 1984](#) — hereinafter in this section referred to as the Inspection Act), upon a registrar or an inspector contemplated in the Inspection Act: Provided that for the purposes of this section—
 - (a) any reference to a 'financial institution' in section 4 of the Inspection Act shall be deemed to be a reference to a bank under curatorship or any of its associates; and
 - (b) any reference to 'the registrar' and 'an inspector' in section 4 of the Inspection Act shall be deemed to be a reference to the commissioner and any person appointed under subsection (2), respectively.
- (5) In the application, in relation to an investigation under this section, of section 4 of the Inspection Act, subsection (2) of that section shall be deemed to have been amended to read as follows:
 - '(2) (a) In carrying out an investigation into the business, trade, dealings, affairs or assets and liabilities of a bank under curatorship, a commissioner may examine under oath, in relation to such bank or any of its associates, any person who is or formerly was a director, an auditor, an attorney, a valuator, an agent, a servant, an employee, a member, a debtor, a creditor or a shareholder of that bank or any of its associates, or any person whom the commissioner deems capable of giving information concerning the business, trade, dealings, affairs or assets and liabilities of that bank or such an associate, and the commissioner may administer an oath or affirmation to that person for the purpose of such an examination: Provided that the person examined, whether under oath or not, may have his legal adviser present at the examination.
 - (b) Unless directed otherwise by the commissioner, the proceedings under paragraph (a) shall be held *in camera* and not be accessible to the public.'
- (6) (a) Any person examined by a commissioner under this section shall not be entitled, at such examination, to refuse to answer any question upon the ground that the answer would tend to incriminate him or upon the ground that he is to be tried on a criminal charge and may be prejudiced at such trial by his answer.

- (b) Where any person gives evidence in terms of the provisions of this section and is obliged to answer questions that may incriminate him or, where he is to be tried on a criminal charge, may prejudice him at such trial, the commissioner shall direct, in respect of such part of the proceedings, that no information regarding such questions and answers may be published in any manner whatsoever.
 - (c) No evidence regarding any questions and answers contemplated in paragraph (b), and no evidence regarding any fact or information that has come to light in consequence of any such questions or answers, shall be admissible in any criminal proceedings, except in criminal proceedings where the person concerned is charged with an offence in terms of subsection (14).
- (7) In addition to the powers conferred upon the commissioner by subsection (4) the commissioner shall for the purpose of the performance of his functions under this section have the power to summon before him any such person as he may examine in terms of the provisions of subsection (5).
- (8) If any person who has: been duly summoned under subsection (7) and to whom a reasonable sum for his expenses has been tendered, fails to attend before a commissioner at the time and place appointed by the summons without lawful excuse made: to the commissioner at the time of the sitting, the commissioner may cause the person so summoned to be apprehended and brought before him for examination.
- (9) Any person duly summoned under subsection (7) shall be entitled to such witness fees as he would have been entitled to if he were a witness in civil proceedings in a magistrate's court.
- (10) The Registrar shall be liable for payment of the costs and expenses incidental to an investigation held in accordance with the provisions of this section, unless the Registrar directs that the whole or any part of such costs and expenses shall be paid out of the assets of the bank concerned.
- (11) A commissioner shall within a period of five months as from the date of his appointment complete his investigation in terms of subsection (1) and shall within a period of 30 days after completion of such investigation prepare a written report thereon, in which, *inter alia*, shall be stated whether or not, in the opinion of the commissioner—
 - (a) it is in the interest of the depositors or other creditors of the bank concerned that the bank remains under curatorship;
 - (b) it is in the interest of the depositors or other creditors of the bank concerned that the Registrar, in terms of the provisions of section 68(1)(a), applies to a competent court for—
 - (i) the winding-up of the bank concerned; or
 - (ii) an order placing the bank under judicial management;
 - (c) it appears that any business of such bank was carried on recklessly or negligently or with the intent to defraud depositors or other creditors of the bank concerned or any other person, or for any other fraudulent purpose; and
 - (d) should it appear that any business of such bank was carried on in the manner contemplated in paragraph (c), any person identified by the commissioner was a party to the carrying on of the business of that bank in such manner.
- (12) A report by a commissioner completed in accordance with the provisions of this section shall be forwarded to—
 - (a) the Registrar;
 - (b) the Minister; and
 - (c) in the event of a finding contemplated in subsection (11)(c) and (d), the attorney-general concerned.

- (13) Any investigation or any report by a commissioner under this section shall be private and confidential unless the Registrar, after consultation with the Minister, either generally or in respect of any part of such investigation or such report, directs otherwise.
- (14) Any person who—
- (a) has been duly summoned under this section by a commissioner and who fails, without sufficient cause, to attend at the time and place specified in the summons;
 - (b) has been duly summoned under this section by a commissioner and who—
 - (i) fails, without sufficient cause, to remain in attendance until excused by the commissioner from further attendance;
 - (ii) refuses to be sworn or to affirm as a witness; or
 - (iii) fails, without sufficient cause—
 - (aa) to answer fully and satisfactorily any question lawfully put to him by a commissioner, notwithstanding that such answer may tend to incriminate him; or
 - (bb) to produce books or papers in his custody or under his control which a commissioner has required him to produce;
 - (c) wilfully furnishes the commissioner with any false information;
 - (d) refuses or fails to comply to the best of his ability with any reasonable request made to him by the commissioner in the exercise of his powers or the performance of his duties;
 - (e) wilfully hinders the commissioner in the exercise of his powers or the performance of his duties; or
 - (f) fails to comply with any provision of a direction by the commissioner or the Registrar as contemplated in this section,
- shall be guilty of an offence.
- (15) The Registrar shall as soon as is practicable after the appointment of a commissioner, or of any person or persons under subsection (2), by notice in the *Gazette*, announce such appointment.
- (16) The provisions of section 69(8) shall *mutatis mutandis* apply in respect of a bank under curatorship of which the registration as a bank is suspended, cancelled or terminated while an investigation under this section in respect thereof is in progress.
- (17) For the purposes of subsection (16), the reference in section 69(8) to the Minister and the curator shall be deemed to be a reference to a commissioner and any person appointed under subsection (2), respectively.
- (18) For the purposes of this section 'associate' means an associate as defined in section 37(7).

[section 69A inserted by section 44 of [Act 26 of 1994](#)]

Chapter VI

Prudential requirements

70. Minimum share capital and unimpaired reserve funds

- (1) For the purposes of this Act—
- "primary share capital" means capital obtained through the issue of ordinary shares or non-redeemable non-cumulative preference shares excluding such ordinary or non-redeemable non-

cumulative preference shares issued in pursuance of the capitalization of reserves resulting from a revaluation of assets;

"primary unimpaired reserve funds" means funds obtained from actual earnings or by way of recoveries, premiums on the issue of ordinary or non-redeemable non-cumulative preference shares or a surplus on the realization of capital assets, and which have been set aside as a general or special reserve, are disclosed as such a reserve in the financial statements of the bank concerned and are available for the purpose of meeting liabilities of or losses suffered by the bank, but does not include any fund required to be maintained in terms of any other law;

"secondary share capital" means a prescribed percentage of capital obtained through the issue, with the prior written approval of the Registrar and in accordance with conditions approved by the Registrar in writing and such further conditions, if any, as may be prescribed, of—

- (a) cumulative preference shares;
- (b) ordinary shares, or preference shares other than cumulative preference shares, issued in pursuance of the capitalization of reserves resulting from a revaluation of assets; and
- (c) prescribed categories of debt instruments;

[definition of "secondary share capital" substituted by section 45(a) of [Act 26 of 1994](#)]

"secondary unimpaired reserve funds" means—

- (a) such funds, obtained from actual earnings or by way of recoveries, as may be prescribed and which have been set aside but which are not disclosed as a general or special reserve in the financial statements of the bank concerned;
- (b) a prescribed percentage of the amount of any surplus resulting from a revaluation of assets and determined as prescribed;
- (c) general provisions held against unidentified and unforeseen losses; and
- (d) funds obtained by way of premiums on the issue of cumulative preference shares or debt instruments issued in accordance with the prescribed conditions, whether or not such funds are disclosed as a general or special reserve in the financial statements of the bank concerned,

but does not include any fund required to be maintained in terms of any other law.

[definition of "secondary unimpaired reserve funds" substituted by section 45(b) of [Act 26 of 1994](#)]

[subsection (1) substituted by section 18(a) of [Act 9 of 1993](#)]

- (2) A bank shall manage its affairs in such a way that, subject to the provisions of subsections (3) and (5) (a), the sum of its issued primary and secondary share capital and its primary and secondary unimpaired reserve funds in the Republic does not at any time amount to less than the greater of—

- (a) R50 000 000 or, in the case of a bank which immediately prior to the date of commencement of this Act was registered as a banking institution or a building society under a law repealed by this Act, R1 000 000; or

[paragraph (a) substituted by section 45(c) of [Act 26 of 1994](#)]

- (b) an amount which represents a prescribed percentage of the sum of amounts calculated by multiplying the average of the amounts (as shown in the returns furnished to the Registrar in terms of section 75(1)(a) (ii)) of such different categories of—

- (i) assets; and
- (ii) other risk exposures in the conduct of its business,

as may be prescribed, by the risk weights, expressed as percentages, prescribed in respect of such different categories of assets and other risk exposures.

(3) Notwithstanding the provisions of subsection (2)—

(a) *[paragraph (a) omitted by section 45(d) of [Act 26 of 1994](#)]*

(b) the sum of a bank's issued secondary share capital and secondary unimpaired reserve funds may, in the calculation of the aggregate amount which such bank is in terms of subsection (2) required to maintain by way of issued primary and secondary share capital and primary and secondary unimpaired reserve funds, be taken into account to an amount not exceeding the sum of such bank's issued primary share capital and primary unimpaired reserve funds.

[subsection (3) amended by section 9(a) of [Act 42 of 1992](#), by section 18(b) and 25(b) of [Act 9 of 1993](#) and substituted by section 45(d) of [Act 26 of 1994](#)]

(4) *[subsection (4) deleted by section 45(e) of [Act 26 of 1994](#)]*

(5) (a) The sum of the issued primary and secondary share capital and primary and secondary unimpaired reserve funds of a bank shall for the purposes of subsection (2) be calculated by deducting from the amount thereof—

(i) *[subparagraph (i) deleted by section 45(f) of [Act 26 of 1994](#)]*

(ii) *[subparagraph (ii) deleted by section 45(f) of [Act 26 of 1994](#)]*

(iii) *[subparagraph (iii) deleted by section 45(f) of [Act 26 of 1994](#)]*

(iv) the value of assets lodged or pledged to secure liabilities incurred under any other law where the effect of such lodging or pledging is that such assets are not available for the purpose of meeting the liabilities of the bank in terms of this Act;

[subparagraph (iv) substituted by section 9(b) of [Act 42 of 1992](#)]

(v) *[subparagraph (v) deleted by section 45(f) of [Act 26 of 1994](#)]*

(vi) an amount equal to the book value of—

(aa) shares directly or indirectly held by the bank in any other bank;

[item (aa) substituted by section 45(g) of [Act 26 of 1994](#)]

(bb) debt instruments held by the bank which debt instruments have been issued by any other bank and the amounts of which may in terms of this section rank as secondary share capital of that other bank; and

[item (bb) substituted by section 18(c) of [Act 9 of 1993](#)]

[subparagraph (vi) substituted by section 9(c) of [Act 42 of 1992](#)]

(vii) any amount made available by the bank for the permanent funding of the capital requirements of any foreign branch thereof.

(b) A bank shall, in conformity with generally accepted accounting practice, make provision in its accounting records, referred to in section 284 of the Companies Act, for the items specified in paragraph (a).

(6) *[subsection (6) amended by section 18(d) of [Act 9 of 1993](#) and deleted by section 45(h) of [Act 26 of 1994](#)]*

(7) *[subsection (7) deleted by section 45(h) of [Act 26 of 1994](#)]*

71. ***

[section 71 repealed by section 19 of [Act 9 of 1993](#)]

72. Minimum liquid assets

- (1) A bank shall hold in the Republic liquid assets to a value which does not amount to less than the sum of amounts, calculated as prescribed percentages, but which in no instance may exceed 20 per cent, of such different categories of its liabilities as may be specified by regulation with reference to the time when such liabilities fall due or with reference to any other aspect pertaining to such liabilities.
- (2) The amounts of the liquid assets and of the liabilities referred to in subsection (1) shall be calculated in such manner and be determined at such times as may be prescribed.
- (3) A bank shall not pledge or otherwise encumber any portion of the liquid assets held by it in compliance with the provisions of subsection (1): Provided that the Registrar may, if he deems it necessary on account of any special circumstances in which a bank may find itself, exempt such bank from the prohibition contained in this subsection on such conditions and to such an extent and for such a period as he may determine.

[subsection (3) amended by section 25(b) of [Act 9 of 1993](#)]

- (4) For the purposes of this section securities shall be valued at their prices as quoted in a list of quotations of prices—
 - (a) of securities, as defined in section 1 of the Stock Exchanges Control Act, 1985 ([Act No. 1 of 1985](#)), issued for publication on the authority of a licensed stock exchange, as so defined; or
 - (b) of financial instruments, as defined in section 1 of the Financial Markets Control Act, 1989 ([Act No. 55 of 1989](#)), issued for publication on the authority of the executive committee of a financial exchange, as so defined,

as the case may be, and which list is in force at the time when the securities are so valued.

[subsection (4) substituted by section 10 of [Act 42 of 1992](#)]

73. Large exposures

- (1) A bank shall not make investments with or grant loans or advances or other credit to any person, to an aggregate amount exceeding an amount representing a prescribed percentage of such bank's capital and reserves, without first having obtained the permission of its board of directors, or of a committee appointed for such purpose by its board of directors (at least one of the members of which committee shall be a director of the bank who is not in its employ nor in the employ of any of its subsidiaries, its controlling company or any subsidiary of its controlling company), to make such investments or to grant such loans, advances or other credit.
- (2) A bank shall in such manner and on such a form as may be prescribed report to the Registrar whenever it makes an investment with or grants a loan or advance or other credit to any person, which transaction, either alone or together with any previous transaction or transactions entered into by it with that person, results in the bank being exposed up to an amount exceeding an amount representing a prescribed percentage of its capital and reserves.
- (3) For the purposes of this section 'person' includes—
 - (a) two or more persons, whether natural or juristic persons, the respective exposures to whom constitute a single exposure because of the fact that one of them directly or indirectly exercises control over the other or others; and
 - (b) two or more persons, whether natural or juristic persons, between whom there exists no relationship of control as contemplated in paragraph (a), but the respective exposures to whom are to be regarded as a single exposure because of the fact that they are so

interconnected that should one of them experience financial difficulties, another one or all of them would be likely to experience a lack of liquidity.

[section 73 substituted by section 11 of [Act 42 of 1992](#) and by section 46 of [Act 26 of 1994](#)]

74. Failure or inability to comply with prudential requirements

- (1) If a bank fails to comply with a provision of section 70 or 72, or is unable to comply with any such provision, it shall forthwith in writing report its failure or inability to the Registrar, stating the reasons for such failure or inability.

[subsection (1) substituted by section 20(a) of [Act 9 of 1993](#)]

- (2) The Registrar may summarily take action under this Act against a bank referred to in subsection (1) or, if in the circumstances he deems it fit to do so, condone the failure or inability and afford the bank concerned an opportunity, subject to such conditions as the Registrar may determine, to comply with the relevant provision within a specified period.

[subsection (2) amended by section 25(b) of [Act 9 of 1993](#)]

- (3) Irrespective of whether criminal proceedings in terms of this Act have been or may be instituted against a bank in respect of any failure or inability referred to in subsection (1), the Registrar may, subject to any condonation granted under subsection (2), by way of a written notice impose upon that bank, in respect of such failure or inability, a fine—

- (a) in the case of any failure or inability to comply with the provisions of section 70, not exceeding one-tenth of one per cent of the amount of the shortfall for each day on which such failure or inability continues; or

[paragraph (a) substituted by section 20(b) of [Act 9 of 1993](#)]

- (b) in the case of any failure or inability to comply with the provisions of section 72, not exceeding three per cent of the amount of the shortfall.

[subsection (3) amended by section 25(b) of [Act 9 of 1993](#)]

- (4) A fine imposed under subsection (3) shall be paid to the Registrar within such period as may be specified in the relevant notice, and if the bank concerned fails to pay the fine within the specified period the Registrar may by way of civil action in a competent court recover from that bank the amount of the fine or any portion thereof which he may in the circumstances consider justified.

[subsection (4) amended by section 25(b) of [Act 9 of 1993](#)]

75. Returns

- (1) A bank shall, in order to enable the Registrar to determine—
 - (a) whether the bank is complying with the provisions of—
 - (i) sections 70 and 72; or
 - (ii) section 10A of the South African Reserve Bank Act, 1989 ([Act No. 90 of 1989](#)); or

[paragraph (a) substituted by section 21(a) of [Act 9 of 1993](#)]

- (b) the nature and amounts of the of the bank's assets, liabilities and contingent liabilities,

[paragraph (b) substituted by section 12(a) of [Act 42 of 1992](#)]

furnish the Authority, subject to the provisions of subsection (3A), with returns.

[section 1 amended by section 47(a) of [Act 26 of 1994](#)]

- (2) *[subsection (2) deleted by section 47(b) of [Act 26 of 1994](#)]*

- (3) A bank shall, in addition to the returns referred to in subsection (1), furnish the Registrar, subject to the provisions of subsection (3A), with the prescribed returns, including returns relating to the extent and management of risk exposures in the conduct of its business.

[subsection (3) substituted by section 47(c) of [Act 26 of 1994](#)]

- (3A) The returns referred to in subsections (1) and (3) shall be prepared in conformity with generally accepted accounting practice and shall be furnished to the Registrar in respect of such period, at such times and on such a form as may be prescribed.

[subsection (3A) inserted by section 47(d) of [Act 26 of 1994](#)]

- (4) The regulations contemplated in subsections (3) and (3A) may also—
- (a) prescribe that a bank which carries on the business of a bank through the medium of a subsidiary, branch office, agency or other undertaking outside the Republic, shall incorporate in the returns which it is required to furnish in terms of subsections (1) and (3) the required information in respect of such business, and also that such information shall be furnished separately by the bank on a form so prescribed; and
 - (b) prescribe that in the case of a group of banks the holding company in such group shall, in addition to the returns furnished in terms of subsections (1) and (3) by each bank in the group, furnish the Registrar by means of a consolidated return, on a form prescribed, relating to—
 - (i) all the banks in that group;
 - (ii) all the subsidiaries of such banks;
 - (iii) the controlling company of such banks and all other subsidiaries of such controlling company;
 - (iv) any juristic person which would have been a subsidiary of any one of such banks or of such controlling company had such juristic person been a company;
 - (v) any juristic person of which the board of directors, or, in the case where such juristic person is not a company, of which the governing body, is accustomed to act in accordance with the directions or instructions of any one of such banks or of such controlling company; and
 - (vi) any trust controlled directly or indirectly by any one of such banks or by such controlling company,as well as to any business, if any, referred to in paragraph (a), with the information required to be furnished in such first-mentioned returns, or with such other information as the Registrar may require.

[subsection (4) substituted by section 47(e) of [Act 26 of 1994](#)]

- (5) A bank shall furnish the Registrar, in respect of those of the respective returns referred to in subsections (1) and (3) which most nearly coincide with the end of the financial year of the bank with a report by the auditor of the bank in which is stated whether or not those returns fairly and in conformity with generally accepted accounting practice present those affairs of the bank to which the returns relate, and the Registrar may, if he deems it necessary, require the bank so to furnish him with such a report in respect of any other of those returns furnished during the financial year.

[subsection (5) substituted by section 12(b) of [Act 42 of 1992](#), by section 21(b) of [Act 9 of 1993](#) and by section 47(e) of [Act 26 of 1994](#)]

- (6) A bank shall, at such times as may be prescribed, furnish the Registrar with such further prescribed information as the Registrar may require.

[subsection (6) substituted by section 12(c) of [Act 42 of 1992](#) and by section 47(e) of [Act 26 of 1994](#)]

Chapter VII

Provisions relating to aspects of the conduct of the business of a bank

76. Restriction on investments in immovable property and shares, and on loans and advances to certain subsidiaries

- (1) Subject to the provisions of subsection (2), a bank which invests money in immovable property or in shares, or which lends or advances 'money to any of its subsidiaries of which the main object is the acquisition and holding or development of immovable property, shall manage its transactions in such investments, loans or advances in such a way that the sum of the amounts—
- (a) invested by it in immovable property, taken at the book value thereof;
 - (b) invested by it in shares (excluding preference shares which are not convertible into ordinary shares), taken at the price at which they were acquired; and
 - (c) owing to it by any such subsidiary in respect of a loan or an advance granted by it,
- does not at any time exceed a prescribed amount.

[subsection (1) amended by section 2 of [Act 81 of 1991](#) and substituted by section 48 of [Act 26 of 1994](#)]

- (2) A bank may with the written approval of the Minister and subject to such conditions as he may determine, make investments and grant loans and advances, referred to in subsection (1), to an aggregate amount which exceeds the sum to which it is limited in terms of subsection (1).

77. Restriction on investments with, and loans and advances to, certain associates

- (1) A bank which invests money in debentures or preference shares of any of its associates (excluding any such associate which is a subsidiary referred to in section 76(1), a bank or a mutual building society), or which lends or advances money to any such associate, or which provides guarantees in respect of liabilities of such associates, shall manage its transactions in such investments, loans, advances or guarantees in such a way that the sum of the amounts—
- (a) invested by it in debentures or preference shares of such associates (excluding debentures or preference shares which are convertible into ordinary shares), taken at the price at which they were acquired;
 - (b) owing to it by such associates in respect of loans or advances granted by it; and
 - (c) of such guarantees,

does not at any time exceed ten per cent of its liabilities, excluding its liabilities in respect of capital and reserves.

[subsection (1) amended by section 13 of [Act 42 of 1992](#)]

- (2) The sum of the amounts referred to in paragraphs (a), (b) and (c) of subsection (1) shall be calculated for the purposes of that subsection by deducting therefrom the amount by which the sum of the issued primary share capital and primary unimpaired reserve funds, referred to in section 76(1), of the bank exceeds the sum of the amounts referred to in paragraphs (a), (b) and (c) of section 76(1).
- (3) For the purposes of this section "associate" means an associate as defined in section 37(7).

[subsection (3) substituted by section 49 of [Act 26 of 1994](#)]

78. Undesirable practices

- (1) A bank—
- (a) shall not hold shares in any company of which such bank is a subsidiary;
 - (b) shall not lend money to any person against security of its own shares;
 - (c) shall not, for the purpose of furthering the sale of its own shares, grant unsecured loans or loans against security which in the opinion of the Registrar is inadequate;
 - (d) shall hold all its assets in its own name, excluding any asset—
 - (i) *bona fide* hypothecated to secure an actual or potential liability;
 - (ii) in respect of which the Registrar has, on application of the bank concerned, approved in writing that such asset may be held in the name of another person; or
 - (iii) falling within a category of assets designated by the Registrar by notice in the *Gazette* as a category of assets which may be held in the name of another person;
 - (e) shall not show in its financial statements or in any return referred to in section 75(1)(b) as an asset any amount representing the cost of organization or extension or the purchase of a business or a loss (including a loss originating from the sale of an asset) or bad debts;
 - (f) shall not before provision has been made out of profits for the items referred to in paragraph (e)—
 - (i) open any branch or agency or any further branch or agency; or
 - (ii) pay out dividends on its shares;
 - (g) shall not, for the purpose of effecting a money lending transaction directly between a lender and a borrower, perform any act in the capacity of an agent except where the funds to be lent in terms of the money lending transaction are entrusted by the lender to the bank subject to a written contract of agency in which, in addition to any other terms thereof, at least the following matters shall be recorded:
 - (i) Confirmation by the lender that the bank acts as his agent;
 - (ii) that the lender assumes, except in so far as he may in law have a right of recovery against the bank, all risks connected with the placing by the bank of the funds entrusted to it by the lender, as well as the responsibility to ensure that the bank executes the lender's instructions as recorded in the written contract of agency; and
 - (iii) that no express or implied guarantee regarding the payment of any amount of money owing by one person to another in pursuance of the relevant money lending transaction is furnished by the bank;

[paragraph (g) substituted by section 50 of Act 26 of 1994]
 - (h) shall not in its accounting records record any asset at a value increased by the amount of a loss incurred upon the realization of another asset;
 - (i) shall not conclude a repurchase agreement in respect of a fictitious asset or an asset created by means of a simulated transaction; and
 - (j) shall not purport to have concluded a repurchase agreement without—
 - (i) such agreement being substantiated by a written document signed by the other party thereto; and
 - (ii) the details of such agreement being recorded in the accounts of the bank as well as in the accounts, if any, kept by the bank in the name of such other party.

(2) The Registrar may—

- (a) in writing notify a bank that a practice employed by that bank and specified in the notice constitutes an undesirable practice for that bank; or

[paragraph (a) amended by section 25(b) of [Act 9 of 1993](#)]

- (b) by notice in the *Gazette* declare a practice specified in that notice to be an undesirable practice for banks specified in that notice or for all banks,

and a bank which, after the expiry of a period of 21 days as from the date of a notice received by it by virtue of paragraph (a) or applicable to it in terms of paragraph (b), employs a practice which constitutes an undesirable practice for it by virtue of such a notice, shall be guilty of an offence.

- (3) A bank shall, upon receipt from the Registrar of a written request to that effect, discontinue the publication or issue of any advertisement, brochure, prospectus or similar document, specified in the request, which contains information which is not a correct statement of fact, or the publication or issue of which is, in the opinion of the Registrar, not in the public interest.

79. Shares, debentures, negotiable certificates of deposit and share warrants

(1) A bank shall not—

- (a) sections 74 and 75 of the Companies Act notwithstanding, issue shares of no par value or convert any of its shares into shares of no par value;

- (b) without the written approval of the Registrar or otherwise than in accordance with conditions approved by the Registrar in writing—

- (i) issue any preference shares or debt instruments;

[subparagraph (i) substituted by section 51(a) of [Act 26 of 1994](#)]

- (ii) convert any of its shares into preference shares or debt instruments; or

[subparagraph (ii) substituted by section 51(a) of [Act 26 of 1994](#)]

- (iii) convert any of its preference shares of a particular class into preference shares of any other class;

- (c) issue negotiable certificates of deposit otherwise than in accordance with such conditions as may be prescribed; or

- (d) section 101 of the Companies Act notwithstanding, issue share warrants to bearer within the meaning of that section.

- (2) The aggregate amount representing the value of debt instruments and negotiable certificates of deposit issued by a bank in terms of paragraphs (b)(i) and (c), respectively, of subsection (1), shall at no time exceed an amount representing the prescribed percentage of the aggregate amount of the bank's liabilities in respect of deposits made with it and in respect of such debt instruments and negotiable certificates of deposit.

[subsection (2) substituted by section 51(b) of [Act 26 of 1994](#)]

- (3) Notwithstanding anything to the contrary contained in any contract or in the memorandum of association or articles of association of any bank or controlling company, there shall be no differentiation in the voting rights attached to any of the ordinary shares of a bank or a controlling company, and such voting rights shall be exercised in accordance with the determination thereof as provided in section 195(1) of the Companies Act.

[subsection (3) added by section 51(c) of [Act 26 of 1994](#)]

- (4) The provisions of subsection (1)(a) shall *mutatis mutandis* apply to a controlling company.

[subsection (4) added by section 51(c) of [Act 26 of 1994](#)]

80. Limitation on certain activities of banks

- (1) [subsection (1) deleted by section 52 of [Act 26 of 1994](#)]

- (2) [subsection (2) deleted by section 52 of [Act 26 of 1994](#)]

- (3) No bank and no associate of a bank shall, without the prior written approval of the Registrar, either jointly or individually acquire or hold shares in any registered insurer as defined in section 1 of the Insurance Act, 1943 ([Act No. 27 of 1943](#)), to the extent to which the nominal value of those shares exceeds 49 per cent of the nominal value of all the issued shares of such insurer.

[subsection (3) substituted by section 22 of [Act 9 of 1993](#)]

- (4) Where in any particular case at the commencement of this Act the ratio contemplated in subsection (3) is exceeded, the bank and its associates may retain the shares in question, but they shall not acquire any further shares in such insurer as long as such ratio is so exceeded.

- (5) For the purposes of this section—

- (a) "associate", in relation to a bank, means—

- (i) a holding company of that bank;
- (ii) a company of which such holding company is a subsidiary;
- (iii) a fellow subsidiary of that bank; or
- (iv) a subsidiary (excluding a sub-subsidiary) of that bank or of such fellow subsidiary; and

- (b) "sub-subsidiary", in relation to a bank or its fellow subsidiary, means a company which is a subsidiary of such bank or fellow subsidiary by virtue of its being a subsidiary of a subsidiary of that bank or fellow subsidiary.

Chapter VIII

Control of certain activities of unregistered persons

81. Order prohibiting anticipated or actual contraventions of certain provisions of Act

- (1) If the Registrar has reason to suspect that any person who is not provisionally or finally registered as a bank in terms of this Act—

- (a) is likely to conduct the business of a bank in contravention of the provisions of section [11\(1\)](#) or [18A\(6\)](#); or

[paragraph (a) substituted by section 53(b) of [Act 26 of 1994](#)]

- (b) has so contravened the provisions of section [11\(1\)](#) or [18A\(6\)](#) or has contravened the provisions of section [22\(4\)](#) or [\(5\)](#), or that such a contravention is likely to be continued or repeated,

[paragraph (b) substituted by section 53(b) of [Act 26 of 1994](#)]

the Registrar may apply to a division of the Supreme Court having jurisdiction (hereinafter in this section referred to as the court) for an order—

- (i) prohibiting the anticipated contravention referred to in paragraph (a);
- (ii) prohibiting the continuation or repetition of a contravention referred to in paragraph (b); or

- (iii) prohibiting the person concerned from disposing of or otherwise dealing with any of his or its assets while the contravention suspected of having been committed or of being continued is investigated.
- (2) If it is proved to the satisfaction of the court, in the case of an application for an order referred to in —
 - (a) subsection (1)(i), that there is a reasonable likelihood that the provisions of section 11(1) or 18A(6) will be contravened by a person concerned as contemplated in subsection (1)(a);
[paragraph (a) substituted by section 53(c) of Act 26 of 1994]
 - (b) subsection (1)(ii), that there is a reasonable likelihood that a contravention will be continued or repeated as contemplated in subsection (1)(b); or
 - (c) subsection (1)(iii), that there is a reasonable likelihood that a contravention has been committed or is being continued as contemplated in subsection (1)(b),
 the court may make the relevant order applied for.

82. Registrar's power to exact information from unregistered persons

- (1) If the Registrar has reason to suspect that any person who is neither registered as a bank nor authorized in terms of the provisions of section 18A(1) to carry on the business of a bank is carrying on the business of a bank, the Registrar may by notice in writing direct that person to submit to him such document or to furnish him with such information, relating to the affairs of that person, as the Registrar may specify in the notice and as may be available to that person.
[subsection (1) substituted by section 54 of Act 26 of 1994]
- (2) A document or information referred to in subsection (1) shall be submitted or furnished within such period as the Registrar may specify in the relevant notice or within such extended period as the Registrar may allow on application made by the person concerned before the expiration of the period initially specified in the notice.
- (3) Any person who refuses to comply, or fails to comply within the specified or extended period referred to in subsection (2), with a direction issued by the Registrar under subsection (1) shall be guilty of an offence.

83. Repayment of money unlawfully obtained

- (1) If as a result of an inspection conducted under section 12 of the South African Reserve Bank Act, 1989 (*Act No. 90 of 1989*), the Registrar is satisfied that any person has obtained money by carrying on the business of a bank without being registered as a bank or without being authorized, in terms of the provisions of section 18A(1), to carry on the business of a bank, the Registrar may in writing direct that person to repay, subject to the provisions of section 84 and in accordance with such requirements and within such period as may be specified in the direction, all money so obtained by him in so far as such money has not yet been repaid, including any interest or any other amounts owing by him in respect of such money.
[subsection (1) substituted by section 55 of Act 26 of 1994]
- (2) Any person who by virtue of the provisions of subsection (1) repays any money referred to in that subsection before the due date for the repayment thereof agreed upon by that person and the person from whom the money was obtained, shall not be obliged to pay any interest or any other amounts which would have been payable in respect of such money for the period from the date of such repayment up to such due date.
- (3) Any person who refuses or fails to comply with a direction under subsection (1)—
 - (a) shall be guilty of an offence; and

- (b) shall for the purposes of any law relating to the winding-up of juristic persons or to the sequestration of insolvent estates, be deemed not to be able to pay his debts or to have committed an act of insolvency, as the case may be, and the Registrar shall, notwithstanding anything to the contrary contained in any law, be competent to apply for the winding-up of such a juristic person or for the sequestration of the estate of such a person, as the case may be, to any court having jurisdiction.
- (4) The provisions of this section shall not be construed as relieving any person from liability to criminal proceedings arising out of a contravention of any provision of this Act or any law repealed by this Act.

84. Management and control of repayment of money unlawfully obtained

- (1) Simultaneously with the issuing of a direction under section [83 \(1\)](#), or as soon thereafter as may be practicable, the Registrar shall by a letter of appointment signed by him appoint a person (hereinafter in this section referred to as the manager) to manage and control the repayment of money in compliance with the direction by the person subject thereto.
- (2) The Registrar shall serve a copy of the letter of appointment referred to in subsection (1) upon the person subject to the relevant direction, and such person shall, with effect from the date of the letter of appointment, be prohibited from disposing of or otherwise dealing with such of his assets as are specified in the letter of appointment, except with the written permission of the manager.
- (3) The manager shall act under the control of the Registrar, and he may from time to time apply to the Registrar for instructions in regard to any matter arising out of or in connection with the performance of his duties in terms of subsection [\(4\)](#).
- (4) It shall be the duty of the manager—
 - (a) to conduct such further investigation into the affairs or any part of the affairs of the person subject to the direction as the manager may deem necessary in order to establish—
 - (i) the true amount of money unlawfully obtained by that person as contemplated in section [83 \(1\)](#);
 - (ii) the identities of all persons from whom such money was so unlawfully obtained;
 - (iii) where any such money or any assets into which such money was converted, is kept or can be located; or
 - (iv) any other fact which in the opinion of the Registrar or the manager needs to be established in order to facilitate the repayment of such money in terms of the relevant direction;
 - (b) to take all reasonable steps (including the liquidation of assets into which money unlawfully obtained as contemplated in section [83 \(1\)](#) has been converted) which may serve to expedite and ensure the repayment of money in accordance with the requirements of and within the period specified in the relevant direction;
 - (c) to report the suspected commission by any person of any offence of which he becomes aware in the course of the performance of his duties as manager in terms of this section, to the attorney-general having jurisdiction in the area in which such offence is so suspected of having been committed; and
 - (d) to perform any other function assigned to him by the Registrar in connection with the finalization of the repayment of money in accordance with the relevant direction.
- (5) For the purposes of the performance of his duties as set out in subsection [\(4\)](#), the manager shall, in relation to the person subject to the relevant direction and in relation to the affairs of that person, have the powers conferred by section 4 (1), (2), (3) and (4) of the Inspection of Financial Institutions Act, 1984 ([Act No.38 of 1984](#)), upon an inspector contemplated in that section, as if the manager

were an inspector and the person subject to the direction were a financial institution contemplated in that section.

- (6) The manager shall in respect of the services rendered by him in terms of this section be paid such remuneration by the Registrar as the Minister may determine, and the Registrar may recover an amount equal to the remuneration so paid from the person subject to the direction.
- (7) The manager shall hold office until the relevant direction has been fully complied with, but the Registrar may at any time in writing withdraw the appointment of the manager on good cause shown, whereupon the manager shall vacate his office.
- (8) Any person who—
 - (a) when requested by the manager to take an oath or to make an affirmation, refuses to do so;
 - (b) without lawful excuse refuses or fails to answer to the best of his ability a question put to him by the manager in the exercise of his powers or the performance of his duties, even though the answer may lend to incriminate that person;
 - (c) wilfully furnishes the manager with any false information;
 - (d) refuses or fails to comply to the best of his ability with any reasonable request made to him by the manager in the exercise of his powers or the performance of his duties;
 - (e) wilfully hinders the manager in the exercise of his powers or the performance of his duties; or
 - (f) commits any other deed designed to obstruct, or to enable any person to evade, the repayment of money as required by a direction under section [83 \(1\)](#),

shall be guilty of an offence.

Chapter IX

General provisions

85. Certification of returns and other documents

Any return or other document to be furnished to the Registrar by a bank or controlling company in terms of a requirement of this Act, shall be certified as correct by the chief executive officer and, in the case of such a return, also by the chief accounting officer of the bank or controlling company and be endorsed by such chief executive officer with the date on which it is so certified.

86. Inspection, copies and keeping of documents

- (1) Any person may upon payment of the prescribed fee—
 - (a) inspect any document specified in subsection [\(2\)](#) and kept by the Registrar in terms of this Act;
 - (b) obtain a certificate from the Registrar as to the contents or any part of the contents of any such document; or
 - (c) obtain a copy of or extract from any such document.
- (2) The documents referred to in subsection [\(1\)](#) are—
 - (a) certificates of provisional or final registration or of the registration of an alteration of the memorandum or association or articles of association or of a change of name of banks and of controlling companies;
 - (b) memorandums of association and articles of association of banks and of controlling companies; and

- (c) returns and copies of notices, reports, returns, statements or minutes lodged with the Registrar in terms of section 59, 65 or 75, excluding any return or statement so lodged by means or under cover of a proscribed form which, in terms of the regulation prescribing it, is to be treated as confidential and not available for inspection by the public.
- (3) The Registrar shall keep the documents specified in paragraph (c) of subsection (2) for a period of at least 10 years: Provided that the Registrar shall not be required to keep the said documents which relate to a bank or a controlling company of which the registration has lapsed or been cancelled, for a period longer than five years as from the date of termination of such registration.
- (4) If the Registrar is of the opinion that a person requires an inspection or any certificate, copy or extract referred to in subsection (1) to promote any public interest, he may exempt that person from the obligation to pay the prescribed fee in respect of such inspection, certificate, copy or extract.

87. Minors and married women as depositors

- (1) Notwithstanding anything to the contrary contained in any law or the common law, and unless otherwise provided in the memorandum of association or articles of association of a bank, a minor over the age of 16 years or a married woman, whether or not under marital power, may be a depositor with a bank and may without the consent or assistance of his guardian or her husband, as the case may be, execute all necessary documents, give all necessary acquittances and cede, pledge, borrow against, and generally deal with, his or her deposit as he or she thinks fit, and shall enjoy all the privileges and be liable to all the obligations and conditions applicable to depositors.
- (2) The husband of a woman who is a depositor with a bank shall, save with her written consent, not be entitled to demand or receive from the bank any particulars concerning the deposits she holds with that bank.

[subsection (2) amended by section 25(b) of [Act 9 of 1993](#)]

88. Limitation of liability

No liability shall attach to the South African Reserve Bank or, either in his official or personal capacity, any member of the board of directors of the said Bank, the Registrar or any other officer or employee of the said Bank, for any loss sustained by or damage caused to any person as a result of anything done or omitted by such member, the Registrar or such other officer or employee in the *bona fide* performance of any function or duty under this Act.

89. Furnishing of information by Registrar

Notwithstanding the provisions of section 33 (1) of the South African Reserve Bank Act, 1989 ([Act No. 90 of 1989](#)), the Registrar may furnish information acquired by him as contemplated in that section—

- (a) to any person charged with the performance of a function under any law, provided the Registrar is satisfied that possession of such information by that person is essential for the proper performance of such function by that person; or
- (b) to an authority in a country other than the Republic for the purpose of enabling such authority to perform functions, corresponding to those of the Registrar under this Act, in respect of a bank carrying on business in such other country.

90. Regulations

- (1) The Minister may make regulations—
 - (a) as to any matter which is required or permitted to be prescribed by regulation under this Act;

- (b) subject to the provisions of the Companies Act, providing guidelines relating to the conduct of, and prescribing requirements to be complied with by, a member of the board of directors of a bank in the performance of his functions as such a director;
 - (c) prescribing matters in addition to those contemplated in any other provision of this Act, in respect of which fees shall be payable, and the fee payable in respect of each such matter;
 - (d) prescribing the manner in which any payment in terms of this Act shall be made to the Registrar;
 - (e) prescribing such further returns as the Minister may deem expedient, in addition to those contemplated in any other provision of this Act, to be furnished by banks to the Registrar;
 - (f) prescribing that the financial statements of a bank shall be prepared in conformity with generally accepted accounting practice;
 - (g) prescribing the amount of the fee payable in respect of a licence referred to in section 35 or the basis on which such amount shall be calculated, the period within which such fee shall be paid and a fine in respect of late payment of such a fee;
 - (h) prescribing the basis on which any movable or immovable assets shall for the purposes of this Act be valued; or
 - (i) prescribing, generally, any matter, whether or not connected with any matter specified in paragraphs (a) to (h), inclusive, which he may deem it necessary or expedient to prescribe in order that the objects and purposes of this Act may be better achieved.
- (2) A person who is obliged in terms of any provision of this Act to render a return or statement in a prescribed form, shall be deemed not to have rendered that return or statement unless he has set forth therein all the particulars for which provision is made in the prescribed form.
- (3) A regulation made under subsection (1) may in respect of any contravention thereof or failure to comply therewith prescribe a penalty not exceeding a fine of R2 000 or imprisonment for a period of six months.

91. Offences and penalties

- (1) Any person who—
- (a) fails to comply with a direction under section 7;
[paragraph (a) amended by section 23(a) of Act 9 of 1993]
 - (aA) in completing any questionnaire contemplated in section 1(1A)(c) furnishes the Registrar with any information which to the knowledge of such person is untrue or misleading in any material respect; or
[paragraph (aA) inserted by section 23(b) of Act 9 of 1993]
 - (b) contravenes or fails to comply with a provision of section 34, 35, 37(1), 38(1), 39, 41, 42(1), 52(4) or (4), 53, 55, 58, 59, 61(2), 65, 66, 67, 70(2), 72, 73, 75, 76, 77, 78(1) or (3), 79, 80 or 84(2),
[paragraph (b) substituted by section 23(c) of Act 9 of 1993 and by section 56(a) of Act 26 of 1994]
- shall be guilty of an offence.
- (2) A director or employee of a bank or controlling company who, or any company in which such director or employee has a direct interest and which—
- (a) accepts from any person any benefit for or in connection with any advance granted by that bank or by the bank in respect of which that controlling company is registered; or

- (b) otherwise than with the written consent of the Registrar or at a duly advertised public auction purchases any immovable property owned by or mortgaged to that bank or the bank in respect of which that controlling company is registered, and which is sold by or at the instance of the bank in question or is sold at a judicial sale at the instance of any other person,

shall be guilty of an offence.

- (3) A bank which, while a shortfall referred to in section 74 (3) exists in respect of its business, pays any dividends, shall be guilty of an offence.
- (4) Any person convicted of an offence in terms of—
 - (a) section 11(2), 18A(6) or 22(4), shall be liable to a fine not exceeding R100 000 or to imprisonment for a period not exceeding five years or to both such fine and such imprisonment; or
 - (b) section 17(6), 21, 22(3) or (8), 32(4)(a), 69A(14), 78(2), 82(3), 83(3)(a), 84(8) or subsection (1), (2) or (3) of this section, shall be liable to a fine not exceeding R10 000 or to imprisonment for a period not exceeding six months or to both such fine and such imprisonment.

[subsection (4) substituted by section 56(b) of Act 26 of 1994]

- (5) Any person who accepts any benefit in contravention of the provisions of subsection (2) (a), shall pay to the bank concerned the amount or value of such benefit.
- (6) If any person fails to submit to the Registrar or to furnish the Registrar With any return, statement, report or other document or information in accordance with a requirement of this Act within the period determined by or under this Act or, if that period has been extended by the Registrar under section 8 (2) (a), within the extended period, the Registrar may impose upon him by way of a notice in writing a fine not exceeding R100 for every day during which such failure continues.
- (7) A fine imposed under subsection (6) shall be paid to the Registrar within such period as may be specified in the notice, and if the person concerned fails to pay the fine within the specified period the Registrar may by way of civil action in a competent court recover from such person the amount of the fine or any portion thereof which the Registrar may in the circumstances consider justified.

92. Review of Act

- (1) The Minister shall appoint a standing committee to review this Act from time to time, and such committee shall consist of such incumbents of offices and other members as the Minister may from time to time determine.
- (2) A member of the standing committee shall hold office for such period as the Minister may determine, and shall be eligible for reappointment on the expiration of his term of office.
- (3) The standing committee may from time to time, through the medium of the Policy Board for Financial Services and Regulation established by section 2 of the Policy Board for Financial Services and Regulation Act, 1993 (Act No. 141 of 1993), make recommendations to the Minister with regard to amendments to this Act which, in the opinion of the committee, have become advisable owing to changed circumstances or which the administration of this Act has shown to be advisable.

[subsection (3) substituted by section 57 of Act 26 of 1994]

- (4) A committee appointed by the Minister in terms of the provisions of section 53 of the Banks Act, 1965 (Act No. 23 of 1955), and which exists on the date immediately preceding the date of Commencement of this Act, shall continue to exist until such time as a new committee is appointed by the Minister in terms of this section, and such first-mentioned committee shall, as long as it so continues to exist, be deemed to have been appointed by the Minister in terms of this section.

93. Interpretation of certain references in existing laws and in other documents

A reference in any law in force immediately prior to the commencement of the Deposit-taking Institutions Amendment Act, 1993, or in any other document, to—

- (a) a deposit-taking institution, discount house, banking institution, banking institution registered under or in terms of the Banks Act, 1965 ([Act No. 23 of 1965](#)), or building society registered in terms of the Building Societies Act, 1986 ([Act No. 82 of 1986](#)), shall, unless inconsistent with the context or otherwise clearly inappropriate, be construed as a reference to a bank;
- (b) the Registrar of Deposit-Taking Institutions or the Registrar of Building Societies shall be construed as a reference to the Registrar:

Provided that—

- (i) any such reference in section [10\(1\)\(i\)\(xii\)\(bb\)](#), (xiiA) or (xiii)(bb) or [19\(5A\)](#) of the Income Tax Act, 1962 ([Act No. 58 of 1962](#)), to a building society shall be so construed as a reference to a bank which, prior to its registration as such, had been a building society (within the meaning of the Building Societies Act, 1986) that after the commencement of this Act was registered as a deposit-taking institution by virtue of the provisions of section [33](#) as those provisions existed prior to the amendment thereof by the Deposit-taking Institutions Amendment Act, 1993; and
- (ii) any such reference in section [10\(1\)\(w\)](#) of the Income Tax Act, 1962, to a deposit-taking institution shall be so construed as a reference to a bank which, prior to its registration as such, had been a banking institution (within the meaning of the Banks Act, 1965) that after the commencement of this Act was registered as a deposit-taking institution by virtue of the provisions of section [33](#) as those provisions existed prior to the amendment thereof by the Deposit-taking Institutions Amendment Act, 1993.

[section 93 substituted by section 24 of [Act 9 of 1993](#)]

94. Amendment of section 3 of [Act 61 of 1973](#), as amended by section 106 of [Act 82 of 1986](#)

Section 3 of the Companies Act is hereby amended by the substitution for paragraph (b) of subsection (1) of the following paragraph:

- “(b) with reference to any company or external company or society which is subject to the provisions of any law relating to [banks or] insurance companies or societies in so far as those provisions are inconsistent with the provisions of this Act; or”.

95. Repeal of laws, and savings

- (1) Subject to the provisions of subsection [\(2\)](#), the laws specified in the Schedule are hereby repealed to the extent set out in the third column of the Schedule.
- (2) Any regulation made, direction, order or directive issued, request made or requirement laid down, and any other thing done under any provision of any law repealed by subsection [\(1\)](#), and which could be made, issued, laid down or done under a provision of this Act, shall be deemed to have been made, issued, laid down or done under the last-mentioned provision.

96. Short title and commencement

This Act shall be called the Banks Act, 1990.

[section 96 substituted by section 26 of [Act 9 of 1993](#)]

Schedule
Laws repealed

No. and year of law	Short title	Extent of repeal
<u>Act No. 23 of 1965</u>	Banks Act, 1965	The whole
<u>Act No. 80 of 1969</u>	Financial Institutions Amendment Act, 1969	Section 2
<u>Act No. 23 of 1970</u>	Financial Institutions Amendment Act, 1970	Sections 3, 4, 5 and 6
<u>Act No. 89 of 1972</u>	Revenue Laws Amendment Act, 1972	Section 8
<u>Act No. 91 of 1972</u>	Institutions Amendment Act, 1972	Sections 12 to 17, inclusive
<u>Act No. 67 of 1973</u>	Financial Institutions Amendment Act, 1973	Section 4
<u>Act No. 101 of 1976</u>	Financial Institutions Amendment Act, 1976	Sections 37 to 53, inclusive
<u>Act No. 94 of 1977</u>	Financial Institutions Amendment Act, 1977	Sections 17 to 21 inclusive
<u>Act No. 80 of 1978</u>	Financial Institutions Amendment Act, 1978	Sections 18 to 21, inclusive
<u>Act No. 103 of 1979</u>	Financial Institutions Amendment Act, 1979	Sections 27 to 31, inclusive
<u>Act No. 99 of 1980</u>	Financial Institutions Amendment Act, 1980	Sections 45 to 49, Inclusive
<u>Act No. 36 of 1981</u>	Financial Institutions Amendment Act, 1981	Sections 23 to 25, inclusive

No. and year of law	Short title	Extent of repeal
Act No. 82 of 1982	Financial Institutions Amendment Act, 1982	Sections 16 and 17
Act No. 86 of 1984	Financial Institutions Amendment Act, 1984	Sections 22 to 33, inclusive
Act No. 106 of 1985	Financial Institutions Amendment Act, 1985	Sections 10 to 36, inclusive
Act No. 82 of 1986	Building Societies. Act, 1996	The whole
Act No. 6 of 1987	Financial Institutions Amendment Act, 1987	Sections 3 to 7, inclusive, and 10 to 12, inclusive
Act No. 96 of 1988	South African Reserve Bank, Banking Institutions, Mutual Building Societies and Building Societies Amendment Act, 1988	Sections 2 to 16, inclusive, and 32 to 51, inclusive
Act No. 13 of 1989	Banking Institutions, Mutual Building Societies and Building Societies Amendment Act, 1989	Sections 1 to 6, inclusive, and 11 to 14, inclusive